



VASUDHA PHARMA CHEM LIMITED

Contributing to affordable health care...

Together for a **SUSTAINABLE FUTURE**



SUSTAINABILITY REPORT 2025

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CORPORATE OVERVIEW

TOGETHER FOR A SUSTAINABLE FUTURE

Vasudha Pharma at a Glance

About Vasudha Pharma Chem Limited (VPCL)

Established in 1994, VPCL is a science-driven pharmaceutical manufacturer specialising in Active Pharmaceutical Ingredients (APIs) and intermediates for domestic and regulated global markets. With a legacy of three decades, we are committed to responsible manufacturing, continuous innovation, and quality excellence aligned to global standards.

OUR PILLARS OF VALUE CREATION



Quality &
Compliance
Excellence



Science-led
Innovation



Responsible
and Efficient
Operations



People
Development
& Workplace
Safety



Community
Well-being



Ethical
Governance &
Transparency

GLOBAL PRESENCE

Vasudha Pharma Chem Limited embarked on its journey with the manufacture of its first product, N-Methyl-4-Piperidone in 1996. Since inception, the company has focused on responsible manufacturing practices and quality assurance. The first commercial consignment was dispatched locally

in 1996, followed by the first overseas shipment to Ireland in 1997. This marked the beginning of Vasudha Pharma's global footprint, which has steadily expanded across Europe and other international markets.

COMMITMENT TO GLOBAL ACCESS AND SUSTAINABLE GROWTH

Over the years, Vasudha Pharma has extended its reach to more than 91 countries, including major markets in Western regions such as Spain, France, Germany, Belgium, Italy, Brazil, Slovenia, and Turkey, as well as Eastern countries like China, Japan,

Malaysia, Singapore, and Hong Kong. This global presence reflects the company's dedication to making essential medicines accessible worldwide while adhering to stringent environmental and quality standards.





BUSINESS FOOTPRINT

Key Highlights	
Business Focus	APIs & Intermediates
Operational Presence	Telangana & Andhra Pradesh, India
Manufacturing Facilities	5
R&D Centre	1
Certifications	WHO-GMP, ISO 9001, ISO 14001, ISO 45001, select USFDA-approved units
Market Reach	Domestic & International

MILESTONES SUPPORTING SUSTAINABLE GROWTH

Since its incorporation in 1994–95, Vasudha Pharma Chem Limited has steadily strengthened its manufacturing and regulatory capabilities, commencing operations at Unit I in 1997–98 and expanding to multiple facilities at Visakhapatnam over the years. The Company has consistently achieved key global regulatory certifications, including WHO GMP, USFDA, EU Written Confirmation, EDQM, PMDA, KFDA, and Mexican MOH, reflecting strong compliance and quality systems across its API manufacturing units. Vasudha Pharma

has been recognised as a Star Export House and Two Star Export House and has received CHEMEXCIL awards for outstanding export performance. Its financial and operational strength has been reinforced through credit rating upgrades up to IND A, alongside the adoption of ISO Environmental Management and Occupational Health & Safety standards. These milestones underscore the Company's sustained focus on quality, regulatory excellence, export leadership, and long-term growth.

OUR APPROACH TO SUSTAINABILITY IS GUIDED BY THREE CORE PRINCIPLES

Our approach to sustainability is anchored in a strong value system and guided by three interlinked principles that shape how we operate, innovate, and create long-term value for all stakeholders:



Responsible Growth

reflects our unwavering commitment to integrity and sustainability, ensuring the highest standards of environment stewardship, product quality, regulatory compliance, and ethical conduct across the value chain.



Operational Excellence

is driven by innovation and excellence, focussing on process optimisation, resource efficiency, and continuous improvement across manufacturing and R&D to deliver globally benchmarked, patient-centric solutions.



People and communities

embodies our belief that sustainable success begins with people, guided by integrity and inclusivity, we nurture talent, foster safe and respectful workplaces, and contribute to inclusive community development that creates shared social value.

Together, these principles and values form the foundation of our sustainability strategy, enabling responsible decision-making, resilient operations, and meaningful impact on society and the environment.

Report Scope, Boundary & Basis of Reporting

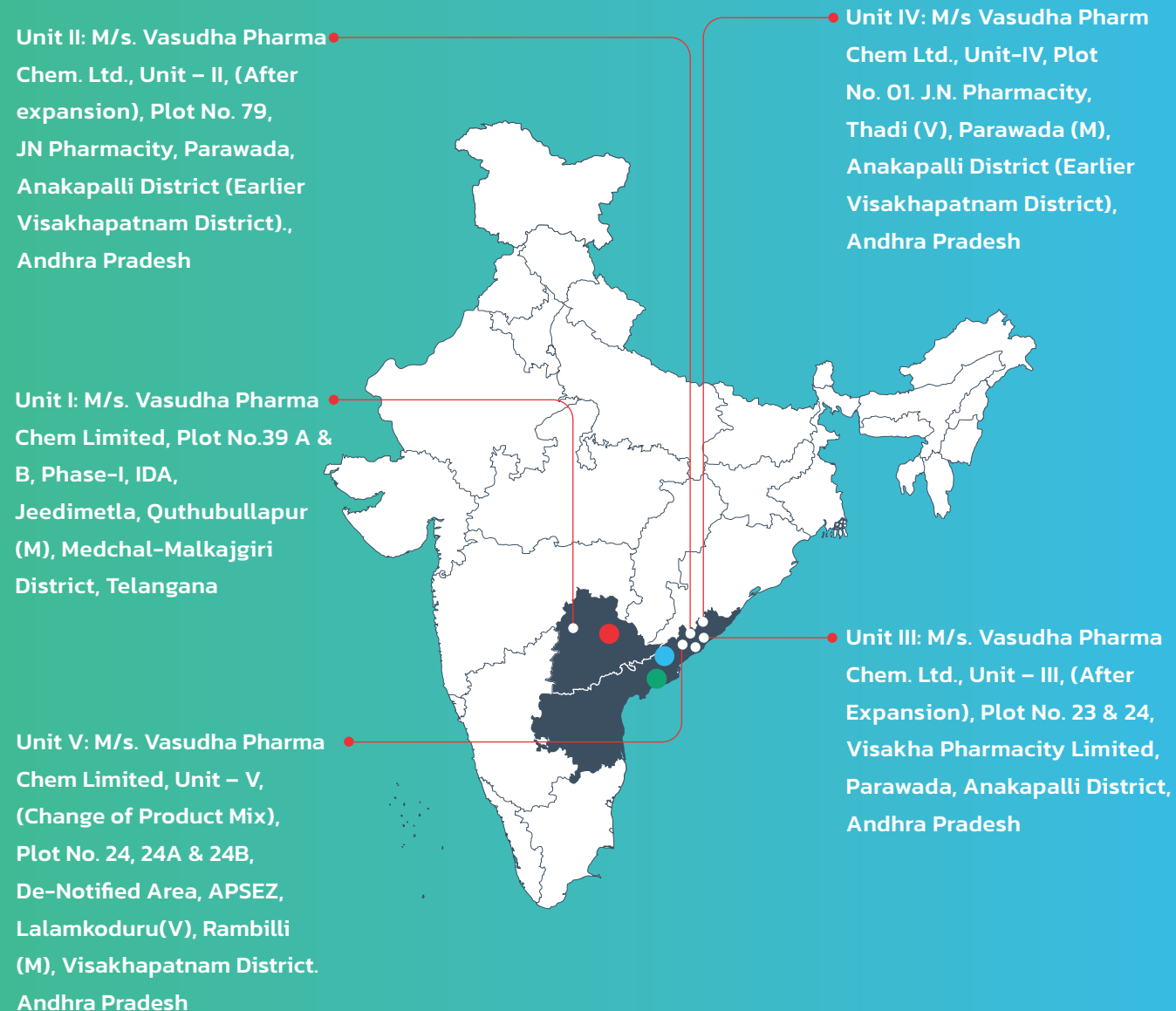
REPORTING PERIOD

This Sustainability Report presents the Company's sustainability performance for the period 1 April 2024 to 31 March 2025. It outlines our progress, commitments, and management approach across material environmental, social, and governance (ESG) topics relevant to our operations.



REPORTING BOUNDARY AND SCOPE

The reporting boundary covers the following operational locations



Research & Development Campus: M/s. Vasudha Pharma Chem Limited, R & D Center, Ramky Commercial Hub, JN Pharmacy, Parawada, Anakapalli District., Andhra Pradesh



Corporate Office: Vasudha Pharma Chem Ltd – Corporate Office, 4th Floor, Vamsiram Jyothi Galaxy, Kavuri Hills, Jubilee Hills, Hyderabad, Telangana



Registered Office: Vasudha Pharma Chem Ltd – Registered Office, 78/A, Vengal Rao Nagar Rd, Mothi Nagar, Vengal Rao Nagar, Sanjeeva Reddy Nagar, Hyderabad, Telangana

The scope of the report includes sustainability performance across these manufacturing and R&D facilities.

Reporting Framework and Methodology

This Sustainability Report 2024–25 represents a progression from our earlier standalone sustainability disclosures and provides a consolidated view of the Company's non-financial performance.

The report has been prepared with reference to the Global Reporting Initiative (GRI) Standards to support transparency and global comparability, and in alignment with the Business Responsibility

and Sustainability Reporting (BRSR) requirements prescribed by SEBI for Indian listed companies.

Reporting has been guided by the principles of responsible disclosure, stakeholder inclusiveness, and materiality. The information presented reflects our management approach and performance across key Environmental Social and Governance (ESG) priorities, including climate stewardship, responsible manufacturing, workforce health and safety, and ethical governance.

Assurance and Feedback

DATA RESTATEMENT

GHG emission figures have been recalculated to reflect enhancements in data collection methodologies and improvements in underlying activity data. The recalculation also incorporates the application of updated, country-specific emission factors to ensure methodological consistency and alignment with recognized reporting standards.

The restatement has been undertaken to improve the accuracy, reliability, and comparability of emissions data across reporting periods. Revised comparative disclosures have been presented accordingly. All recalculated figures have undergone internal validation and quality review processes. The Company is currently evaluating the phased adoption of external assurance for future reporting cycles.

ASSURANCE

Environmental Social and Governance (ESG) information disclosed in this report has undergone internal validation and cross-functional review involving relevant functional owners to ensure data accuracy, completeness, and consistency. The Company is progressively strengthening its sustainability data management systems and internal controls.

External assurance for the current reporting period has been conducted by the British Standards Institution (BSI), covering environmental, social, and governance disclosures. The assurance engagement has been undertaken at a limited assurance level, in accordance with applicable assurance standards.

FEEDBACK

Stakeholders are encouraged to share feedback, queries, or suggestions with:

Dr. R. Visalakshmi Devi
Head – Environment & Sustainability



Message from the CMD (Chairman and Managing Director)

At Vasudha Pharma Chem Limited (VPCL), we recognise that the future of healthcare will be shaped not only by scientific excellence, but by the responsibility with which it is pursued. As a company contributing to global pharmaceutical supply chains, we remain committed to manufacturing high-quality, affordable Active Pharmaceutical Ingredients (APIs) and Intermediates while protecting human health and the environment.

During FY 2024–25, we strengthened our sustainability foundations with a sharper focus on operational excellence, energy transition, responsible chemistry, and supply-chain maturity. Our continued investments in process innovation, technology enablement, and capability development have supported improved resource efficiency, reduced environmental impacts, and enhanced workplace safety.

We are progressing steadily on our Environmental Social Governance (ESG) roadmap — strengthening policies and systems, widening data coverage, and embedding sustainability into business decision-making. Our initiatives in renewable energy sourcing, solvent recovery enhancement, and effluent management reflect advancement towards low-carbon and circular manufacturing pathways. Furthermore, we expanded training and behavioural-safety programs, drove skill-building initiatives, and strengthened community development partnerships.

With growing global expectations around transparency and accountability, we continue to enhance our reporting in line with leading frameworks including Global Reporting Initiative (GRI) framework, Business Responsibility Sustainability Reporting (BRSR), and integrated reporting principles. We remain committed to ethical governance, compliant operations, and responsible growth anchored in science, integrity, and stakeholder trust.



Sri M. V. Rama Raju
CMD, VPCL

6 During FY 2024–25, we strengthened our sustainability foundations with a sharper focus on operational excellence, energy transition, responsible chemistry, and supply-chain maturity.

As we look ahead, innovation, digitalisation, and operational excellence will remain central to our strategy. We will continue accelerating environmental performance, elevating workforce capability, and fostering collaborative value-creation across the pharmaceutical ecosystem.

To our employees, customers, and suppliers — thank you for your continued support and shared commitment to sustainable progress. Together, we remain focused on delivering positive impact for society and lasting value for all stakeholders.

Chairman & Managing Director
Vasudha Pharma Chem Limited



Indicator	2023–24	2024–25
Revenue (INR lakhs)	1,15,419	1,15,530
Total Employees	3,430	3,766
Manufacturing Units	5	5
Global Markets Served		
International Market	50%	54%
Domestic Market	50%	46%
R&D Centers	1	1
Scope 1 Emissions (tCO ₂ e)	36,179	43,043
Scope 2 Emissions (tCO ₂ e)	29,628	30,565
Renewable Electrical Energy Share (%)	1.18	3.28
Community Beneficiaries	3,91,60,624	



STRATEGY & SUSTAINABILITY



TOGETHER FOR A SUSTAINABLE FUTURE

Message from the Executive Director

As we reflect on the year gone by, I take great pride in the progress we have made in embedding Environmental, Social, and Governance (ESG) principles into the very fabric of our business. At Vasudha Pharma Chem Limited (VPCL), we view sustainability not only as a responsibility but as a strategic opportunity that drives innovation, fosters collaboration, and positions us for enduring success in a rapidly evolving industry landscape.

Our unwavering focus remains on achieving responsible and sustainable growth, by integrating these values across our operations, supply chain, and business development efforts. The journey ahead presents immense possibilities to create a meaningful difference, advancing the pharmaceutical sector while positively impacting the communities we serve and the environment we depend upon.



Anand Mantena
Executive Director

Together, we are committed to building a future defined by resilience, inclusivity, and shared prosperity — where every achievement contributes to a healthier, more sustainable world.

Five Pillars of VPCL's ESG Journey

OUR SUSTAINABILITY FRAMEWORK

At VPCL, sustainability is not an add-on it is woven into our purpose, culture, and performance. Guided by five foundational pillars viz., Planet, People, Portfolio, Productivity, and Partners, we continue to integrate environmental responsibility, social value

creation, and strong governance into every aspect of our business. These pillars define how we grow responsibly, innovate consistently, and create long-term value for all stakeholders.



Planet — Preserving the Environment for Tomorrow

Our commitment to the planet drives every operational and strategic decision we make. We continue to advance resource-efficient and low-impact manufacturing practices, reduce Greenhouse Gas Emissions (GHGs), and improve waste and water management. Through renewable energy adoption, sustainable process optimization, and biodiversity protection, we aim to operate responsibly today while safeguarding the planet for future generations.

FOCUS AREAS



CLIMATE ACTION AND ENERGY TRANSITION

VPCL recognizes the global urgency for climate mitigation. Our energy transition strategy is designed to reduce Scope 1 and 2 GHG emissions, improve energy efficiency, and expand the adoption of renewable energy across manufacturing facilities. Specific focus areas include:

- Optimization of process energy through smart energy management systems
- Actively progressing to implement ISO 50001-compliant energy management standards



WATER STEWARDSHIP

Water is a critical resource for pharmaceutical manufacturing. VPCL's water strategy emphasizes conservation, efficiency, and recycling. In the next five years, we envisage to:

- Achieve 50% or higher water reuse in operations
- Expand rainwater harvesting initiatives for selected sites
- Pursue Zero Liquid Discharge (ZLD) across select plants



CIRCULAR ECONOMY AND WASTE MANAGEMENT

VPCL actively reduces environmental impact by minimizing waste and promoting circularity:

- Reuse and recycling of process by-products wherever possible
- Safe disposal of hazardous waste in compliance with regulations
- Adoption of green chemistry practices in R&D and manufacturing

Strategic Risk Outlook and Opportunity

The Company has identified carbon emissions and water usage as key environmental risks due to regulatory, climate, and resource constraints, and is addressing these through energy efficiency, renewable energy adoption, and water recycling initiatives that require upfront investment but deliver long-term cost savings. Green chemistry adoption represents a strategic opportunity, driven by demand for sustainable products, with investments in R&D expected to support revenue growth and competitive advantage.

Environmental and regulatory risks, including stricter pharmaceutical EHS requirements, rising energy costs, and water scarcity, are addressed through robust compliance audits, proactive regulatory monitoring, and investments in renewable energy, energy optimisation, and water efficiency. These actions also create opportunities for cost savings and leadership in sustainable pharmaceutical operations.

People — Empowering Our Workforce and Communities

People are at the heart of VPCL's success. We strive to nurture a safe, diverse, and inclusive workplace where every individual can thrive. Through continuous learning, leadership development, and employee well-being programs, we empower our workforce to remain agile and innovative. Beyond our boundaries, we remain deeply engaged with local communities — promoting education, health, and livelihood initiatives that contribute to lasting social impact.

FOCUS AREAS



WORKFORCE DEVELOPMENT & OCCUPATIONAL HEALTH AND SAFETY

Our employees are the cornerstone of VPCL's success:

- Comprehensive training programs to enhance technical and soft skills
- Implementation of robust occupational health and safety protocols to ensure a safe and secure working environment. Programs to promote employee well-being and work-life balance



COMMUNITY ENGAGEMENT & SOCIAL RESPONSIBILITY

VPCL engages with local communities to create shared value:

- Health camps, education programs, and livelihood enhancement initiatives
- Collaboration with local NGOs for sustainable community development
- Focus on inclusive programs that empower women, youth, and marginalized groups



Strategic Risk Outlook and Opportunity

Social risks such as talent shortages and workforce attrition are mitigated through proactive employee engagement initiatives, skill development programmes, and wellness interventions, strengthening organisational capability and workforce stability.

Portfolio — Innovating for Global Well-Being

Our product portfolio reflects our commitment to quality, safety, and innovation. As a trusted partner to global pharmaceutical companies, VPCL focuses on developing sustainable and compliant products that meet international standards and evolving healthcare needs. We are also investing in greener chemistry, energy-efficient R&D, and product stewardship — ensuring that our growth supports both human health and environmental balance.

CONTINUOUS IMPROVEMENT & INNOVATION

- VPCL's approach to continuous improvement integrates lean manufacturing, technological innovation, and R&D excellence:



Process Optimization

- Lean manufacturing initiatives reducing waste and improving yields
- Digital monitoring for predictive maintenance and energy savings



R&D and Green Chemistry

- Focus on eco-friendly chemical synthesis
- Development of energy-efficient and low-waste manufacturing processes



Technology Integration

- Implementation of Industry 4.0 tools for production monitoring, quality assurance, and tracking resource efficiency
- Data-driven decision-making to improve environmental and operational performance



Employee Engagement & Knowledge Sharing

- Continuous skill development through structured training programs
- Encouraging innovation at all levels with recognition programs



Stakeholder Alignment

- Feedback loops with customers, suppliers, and communities to identify sustainability opportunities
- Monthly sustainability review meetings with board and senior management to track progress

Strategic Risk Outlook and Opportunity

Market and competitive pressures, including pricing challenges and global competition, are managed through product differentiation, innovation, and expansion into emerging markets, supporting sustainable portfolio growth.

Productivity — Driving Operational Excellence

Efficiency and innovation define our approach to productivity. We continue to adopt advanced technologies and process automation to enhance performance, reduce waste, and optimize resource use. Our focus on continuous improvement helps us deliver superior outcomes for customers while aligning operations with our sustainability goals. Every step forward in productivity is a step toward a more resilient and responsible value chain.

SUPPLY CHAIN SUSTAINABILITY

Our upstream and downstream partners play a critical role in sustainability:

- Supplier ESG performance assessment and engagement
- Ethical sourcing and responsible procurement policies
- Collaboration on environmental and social initiatives



Strategic Risk Outlook and Opportunity

Technology-related risks, including cybersecurity threats and digital disruption, are mitigated through strengthened IT security systems, employee awareness training, and the adoption of smart manufacturing and digital solutions to enhance operational efficiency.



Partners — Collaborating for Shared Progress

Sustainable growth is only possible through collaboration. VPCL values long-standing relationships built on trust, transparency, and shared responsibility. We engage closely with our customers, suppliers, and stakeholders to promote ethical practices, responsible sourcing, and joint innovation. Together, we are shaping a sustainable ecosystem that supports industry-wide transformation and collective progress.

OUR IDENTITY: PURPOSE-DRIVEN, SCIENCE-LED, SUSTAINABLE

At VPCL, sustainability is not an obligation—it is the foundation of how we innovate, manufacture, and grow. Our commitment to environmental stewardship, operational excellence, and social responsibility shapes every aspect of our business as we strive to enable healthier lives through responsible pharmaceutical manufacturing.

As a trusted manufacturer of Active Pharmaceutical Ingredients (APIs) and Intermediates, we place strong emphasis on developing cost-efficient, scalable, and environmentally responsible manufacturing processes that meet stringent global benchmarks. Our focus remains on advancing green chemistry, maintaining the highest quality standards, and continuously strengthening our safety and compliance culture.

REGULATORY EXCELLENCE & GLOBAL COMPLIANCE

With five state-of-the-art manufacturing facilities and an advanced R&D center, VPCL operates under the highest levels of regulatory oversight. Most of the Vasudha manufacturing facilities are audited and approved by major international authorities and comply with global standards including:

WHO-GMP	USFDA	MFDS (Korea)
COFEPRIS (Mexico)	KFDA	EDQM (Europe)

TOGETHER FOR A SUSTAINABLE FUTURE

RECENT REGULATORY MILESTONES

We continue to build on our culture of compliance and quality excellence during the reporting period, achieving significant milestones, including:

- Successful renewal of ANVISA (Brazil) certification
- Obtained PMDA (Japan) certification
- Renewed EU Written Confirmation for APIs
- Secured Drug License from DCA, India

These achievements reflect our strong governance practices, robust quality systems, and unwavering focus on global patient safety and trust.

Strategic Risk Outlook and Opportunity

Reputational and stakeholder-related risks arising from heightened ESG scrutiny are addressed through transparent disclosures, active stakeholder engagement, and sustainability-led branding, reinforcing trust and long-term partnerships.

These five pillars — Planet, People, Portfolio, Productivity, and Partners form the cornerstone of VPCL’s ESG strategy. They represent our collective ambition to balance business success with environmental stewardship, social progress, and responsible governance, ensuring that VPCL continues to grow sustainably while contributing positively to the world around us.



Stakeholder Engagement & Materiality Topics

VPCL values open and transparent dialogue with its stakeholders. This report serves as a key communication tool for employees, investors, regulators, customers, suppliers, and communities.

We remain committed to strengthening trust-based relationships through transparent and consistent engagement. As we scale globally, we continue to refine our materiality matrix, deepen stakeholder partnerships, and embed ESG priorities across every business function.

VPCL is focused on creating shared value by:



Investing in people and R&D



Enhancing operational and environmental efficiencies



Prioritizing patient safety and regulatory excellence



Supporting communities and ethical supply chains



Delivering responsible, long-term growth

Together with our stakeholders, we are shaping a resilient and sustainable future for the pharmaceutical industry.



STAKEHOLDER ENGAGEMENT

Engagement Framework

VPCL fosters ongoing, transparent, and collaborative communication with stakeholders through structured engagement channels, ensuring feedback informs our sustainability agenda and operational priorities.

Stakeholder Group	Engagement Mechanisms	Frequency	Key Expectations	VPCL Response
Employees	Surveys, employee connect session, skill development programs, suggestion platforms	Ongoing	Career growth, health & safety, fair workplace	Leadership development, safety programs, structured training
Customers (Global Pharma Firms)	Technical audits, quality reviews, direct engagement	As required	Product quality, regulatory compliance, reliability	Strict QA systems, global regulatory compliance, timely delivery
Suppliers & Vendors	Supplier audits, capability building, fair-trade policies	Ongoing	Long-term partnership, transparency, timely payments	Supplier code, timely settlements, vendor development
Regulators	Regulatory filings, audits, compliance reporting	As required	Transparency, quality & EHS compliance	100% compliance, proactive engagement
Local Communities	CSR initiatives, community programs, grievance mechanisms	Annual/ Need-based	Employment, health safety, environmental care	Local hiring, community health & education programs
NGOs / Sustainability Bodies	Collaboration, dialogues, reporting	Need-based	Environmental & social responsibility	Joint programs, ESG disclosure
Government Authorities	Consultations, statutory compliance reporting	Ongoing	Compliance, taxation, ESG contribution	Regulatory compliance, local contribution
Industry Peers & Associations	Forums, knowledge sharing, R&D collaboration	Bi-annual	Innovation, compliance & ESG leadership	Participation, benchmarking, shared initiatives
Academic & Research Institutions	Research collaboration, internships	Annual	Skill building & R&D	Sponsoring research, talent partnerships
Media & Public	Press releases, public disclosures	As needed	Transparency, ethics	Responsible communications, public reporting



MATERIAL TOPICS

Our Approach

At VPCL, we believe sustainable growth is achieved by deeply understanding the expectations of those who influence and are influenced by our operations. Our stakeholder-centric sustainability strategy ensures that environmental stewardship, innovative growth, operational excellence, and social responsibility remain at the core of our business decisions.

Materiality Assessment Process

VPCL follows a structured, data-driven approach to identify material sustainability topics that could impact our business and stakeholders. Our process includes:

Phase	Description
1. Identify Key ESG Topics	Reviewed global ESG standards (GRI, BRSR, UNSDG), peer benchmarking, regulatory requirements, and industry trends.
2. Stakeholder Consultation	Conducted internal and external stakeholder discussions, surveys, and leadership interviews to assess expectations.
3. Prioritization	Evaluated ESG risks and opportunities based on impact on business performance, long-term strategy, and stakeholder importance.
4. Materiality Matrix Development	Prioritized issues plotted considering stakeholders' priority and business significance.
5. Validation	Material topics reviewed and validated by cross-functional leadership to ensure alignment with business vision.

This structured approach ensures VPCL remains future-ready by addressing critical sustainability themes across governance, environment, and social areas. To arrive at the same, we conducted a materiality survey in 2024, and the subsequent assessment of the responses helped identify and prioritise the ESG topics.

We regularly engage with key stakeholders to assess emerging ESG risks and opportunities, align with global pharmaceutical standards, and embed responsible practices across our value chain. Our materiality assessment and engagement processes help us stay resilient, competitive, and trusted in a rapidly evolving global regulatory environment.

Key Material Topics



Our assessment highlighted the following priority ESG topics:

◆	◆	▲
E1 Energy and emission management	S1 Health & safety	G1 Sustainable procurement and supply chain management
E2 Biodiversity	S2 Community relation and management	G2 Anti-bribery & Anti-corruption
E3 Water and waste water management	S3 Human rights and management	G3 Ethical conduct and integrity
E4 Waste management and circular economy	S4 Diversity, Equity, and Inclusion (DEI)	G4 Responsible tax
E5 Climate change adaptation, vulnerability, and mitigation	S5 Workforce and employment practice	G5 Transparency and Accountability
E6 Opportunities in environmental stewardship	S6 Employee Retention and Engagement	G6 Regulatory compliance
	S7 Labour management	G7 Innovation and Collaboration
	S8 Training and education	G8 Risk management
	S9 Customer relationship management	G9 Economic Performance
		G10 Business model resilience
		G11 Direct Economic Value Generated
		G12 R&D Focus on innovation
		G13 Development of competing drugs
		G14 Cyber security & Data privacy
		G15 Responsible public policy advocacy



PERFORMANCE HIGHLIGHTS & METRICS



TOGETHER FOR A SUSTAINABLE FUTURE

Message from the Executive Director

At VPCL, sustainability is not just a goal—it is a guiding principle that shapes every aspect of our business. We continue to place quality, safety, and environmental stewardship at the heart of our operations, ensuring that our growth journey remains responsible, resilient, and future-ready.

During FY 2024–25, we further deepened our integration of sustainable practices across the value chain, focusing on reducing our environmental footprint, enhancing energy and resource efficiency, and nurturing a workplace culture built on inclusivity, diversity, and accountability. Our teams have worked tirelessly to strengthen compliance, operational excellence, and stakeholder engagement, translating our sustainability commitments into measurable outcomes.

Our sustainability journey is powered by the collective passion and purpose of every member of the VPCL family. Together, we are driving continuous improvement, innovation, and transparency—aligning our actions with global



Ashok Srinivas Raju Mantena
Executive Director

sustainability frameworks, ESG disclosure standards, and national development priorities.

As we look ahead, we remain steadfast in our mission to create enduring value for our stakeholders, contribute meaningfully to the environment and the communities we serve, and advance towards a greener, safer, and more equitable future. Our commitment is clear: to grow responsibly, operate ethically, and leave a positive legacy for generations to come.

Key Performance Indicators (KPIs) Summary

VPCL continuously tracks progress to measure performance against targets:

Environmental Achievements

- GHG emissions changed by +24.39% when compared to last year due to higher operational activity
- Renewable energy share increased by 190.22% compared to last year

Social Achievements

- Average training hours per employee: 14.21%
- Employee engagement and diversity initiatives strengthened during the year, with women representation increasing from 2.30% to 3.02%, marking a 31.03% year-on-year growth.

Governance Achievements

- The Company has a Whistleblower Mechanism in place, and complaints if any will be addressed in line with the prescribed policy and timelines.
- Compliance audit success rate reached 100%



AWARDS AND RECOGNITION



Best Management Award –
Telangana State Government (2016 & 2023)

Best Management Award –
Andhra Pradesh State Government (2018))

**Clean & Green and Safety Precautions
Award –**
Recognized by TSIIIC (2017, 2018 & 2019),
(2016 & 2023)



ISO 14001:2015 Certification
for Environmental Management – Awarded to
VPCL Units I, II, III, and V.



ISO 45001:2018 Certification
for Occupational Health & Safety – Awarded to
VPCL Units I, II, III, and V.

ISO 27001 certification: ISMS
The organization is currently in the process
of obtaining ISO/IEC 27001 certification, with
completion targeted by December 2026,
covering all organizational operations.

ACHIEVED RATINGS BY EcoVadis

Recognizing our commitment to sustainability and
responsible business practices, VPCL has achieved
ratings for all organizational operations.

TOGETHER FOR A SUSTAINABLE FUTURE

BRSR Metric Statements

VPCL's sustainability performance is aligned with the National Guidelines on Responsible Business Conduct (NGRBC) across all nine principles. This includes strong emphasis on ethical governance through Board-level ESG oversight and comprehensive ethics and compliance programmes; environmental responsibility through effective management of energy, water, emissions, and waste; and social responsibility through workforce health and safety, diversity, training, and employee welfare initiatives. We also uphold transparent stakeholder engagement and reporting mechanisms, promotes responsible practices across its supply chain, respects human rights, advances CSR and community development efforts, contributes to public health outcomes, and fosters innovation to support long-term, responsible business growth.

Pathway to Long-Term Sustainability and Net Zero

Target Roadmap & Future Commitments

OTHER COMMITMENTS AND TARGETS SET BY VPCL



Renewable Energy Transition

VPCL is progressing toward entering a renewable energy procurement agreement to shift to cleaner power sources and reduce reliance on grid electricity. The transition is targeted for completion by end of 2026.



Scaling Renewable Energy Share

The company aims to source 40% of its total power consumption from renewable energy by December 2026, strengthening its commitment to climate-friendly operations.



Green Energy Procurement

In FY 2024–25, 3.28% of VPCL's total energy consumption came from green power purchases, showcasing steady progress toward broader renewable adoption.



ISO 50001 Certification Goal

VPCL is actively working toward achieving ISO 50001 Energy Management System certification, reinforcing its focus on energy performance improvement and systematic energy management.



Yield Improvement and Process Optimization

Through continuous process intensification and R&D-driven enhancements, VPCL aims to minimize the gap between theoretical and actual yields, reduce waste generation, and improve resource efficiency.



Enhanced Solvent Recovery Under Green Chemistry

VPCL is strengthening solvent recovery systems, particularly in new Routes of Synthesis (ROS), to advance green chemistry practices and reduce environmental impact.



Supply Chain Management

Initiated structured supply chain management practices, including the categorization of critical suppliers and the systematic collection of environmental and social performance data from suppliers to strengthen risk assessment and responsible sourcing.



Committed to near term and Net zero targets in Science Based Target initiative

Target setting and validation is in progress



Focus Area	FY 2024–25 Target	FY 2029–35 Target	Long-Term Aspiration
GHG Emissions 	Maintain emissions within permissible limits and initiate energy-efficiency projects	30% reduction from FY 2023–24 baseline	Net-zero by 2050
Renewable Energy Share 	Achieve 10% renewable energy share	Increase renewable energy share to 35%	60% Renewable Energy Share
Water Recycling 	Achieve 50% water recycling across major sites	80% recycling with upgraded systems	Site-specific advanced wastewater treatment solutions
Waste Management 	Achieve 20% waste diversion from landfill	50% diversion and improved segregation	Circular Economy Model
Employee Safety (LTIFR) 	Maintain LTIFR below 0.5	Achieve LTIFR ≤ 0.1	Industry Benchmark Performance
Community Outreach 	Reach 10,000 beneficiaries through CSR programs	Expand CSR reach to 30,000 beneficiaries	50,000+ beneficiaries





GOVERNANCE, ETHICS & RISK MANAGEMENT (ANCHORED IN INTEGRITY)



TOGETHER FOR A SUSTAINABLE FUTURE

GOVERNANCE FOR RESPONSIBLE GROWTH

At VPCL, responsible governance forms the backbone of our growth philosophy and sustainability vision. As we strengthen our position in the global pharmaceutical and specialty chemicals industry, we recognize that governance is not merely a legal or fiduciary obligation — it is a commitment to operate with transparency, scientific rigor, ethical conduct, and accountability.

Our governance approach reflects the expectations of the global healthcare ecosystem, where patient safety, regulatory compliance, environmental stewardship, and stakeholder trust are paramount. We uphold stringent integrity standards across our

supply chain, manufacturing facilities, and research operations, ensuring that every decision aligns with our purpose of enabling a healthier world through sustainable innovation.

Through ethical leadership, robust risk management, transparent disclosures, and responsible business practices, VPCL is committed to building trust, safeguarding stakeholder interests, and advancing long-term value creation. Governance remains the foundation upon which we drive sustainable growth and reinforce our commitment to excellence and accountability.

We uphold a governance culture rooted in:



Integrity and accountability



Transparent and ethical business conduct



Balanced Board oversight



Rigorous compliance and risk control



People-centric policies and fair labour practices



Data security and responsible digital governance



Proactive sustainability oversight

Our governance purpose is clear: deliver stakeholder value while advancing environmental stewardship, social responsibility, and ethical corporate conduct.





ROLE OF THE HIGHEST GOVERNANCE BODY

VPCL's governance is led by:

Chairman & Managing Director: Sri M.V. Rama Raju

- 41+ years of pharmaceutical leadership
- Oversees strategic decision-making, production excellence & market leadership
- Ensures transparency & conflict-management systems are in place

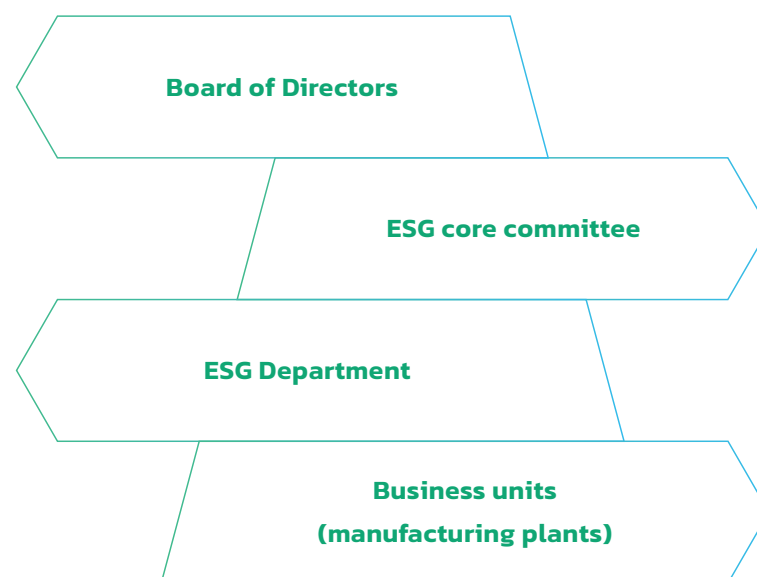
Oversight Mechanisms

- Sustainability strategy and policy approvals
- Review of ESG disclosures and key performance metrics
- Monitoring of GMP, GXP, EHS norms & regulatory compliance
- Stakeholder interaction, including through trade fairs and investor platforms

ESG Governance Structure

ROLE OF THE HIGHEST GOVERNANCE BODY

In FY 2024–25, VPCL formally strengthened its ESG governance through a Board-approved ESG oversight framework, enhancing alignment with global standards (GRI, BRSR). ESG Progress is tracked through PRMs (Performance Review Meetings), Monthly Review Meeting (MRM), Focussed Meetings dashboards, and periodic audits.



SUSTAINABILITY GOVERNANCE SYSTEM

VPCL Board of Directors

The Board holds ultimate accountability for the Company's ESG and sustainability performance, providing strategic direction to embed ESG priorities into corporate planning and capital allocation while ensuring compliance with regulatory requirements and alignment with global frameworks such as the GRI Standards, BRSR, and the UN Sustainable Development Goals. It oversees the review of GHG

disclosures and major decarbonisation initiatives, assesses associated financial risks and business resilience, and safeguards long-term ESG alignment with evolving regulatory and investor expectations. The Board also ensures that adequate resources and budgets are allocated for effective implementation, and that management is held accountable for delivering sustainability outcomes.

ESG Core Committee

The ESG Committee comprises senior leadership, including business heads who report directly to top management, reinforcing the importance of sustainability within the Company's governance framework. It functions as the executive oversight body for ESG matters, including GHG management and decarbonisation initiatives. The Committee reviews consolidated GHG data, risk assessments, and other ESG inputs submitted by

the ESG Department, and endorses climate targets, investment priorities, and major mitigation projects prior to their submission to the Board. It also drives cross-functional alignment across business units to ensure consistent implementation of applicable regional and global standards, and addresses escalations by directing corrective actions when performance deviates from approved plans.

ESG Department

Includes cross-functional members from HR, EHS, Operations, Finance, CSR, Compliance, IT.



ESG Team

Oversee the implementation of environmental strategies, training on sustainability to various internal stakeholders.



EHS Team

ensures compliance with stringent health, safety, and environmental standards through monthly reviews, hazard assessments, and corrective actions



HR Team

Oversee labor practices, promote ethical conduct, ensures alignment with human rights policies, drives Diversity, Equality and Inclusion programs and employee well-being



Legal & Compliance

Ensure adherence to financial and legal compliance standards, oversee audits related to ESG and manage reporting mechanisms



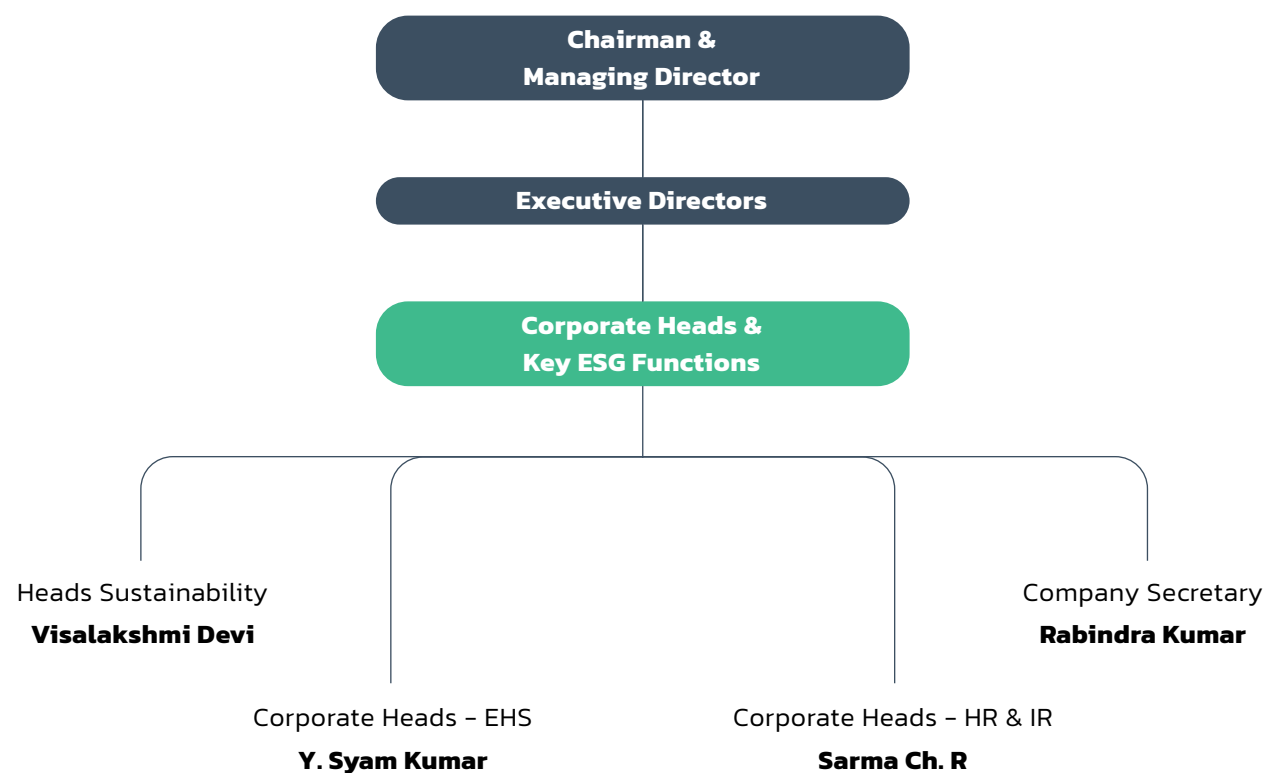
CSR Team

Develop and implement CSR initiatives, engage with community stakeholders, and monitor the social impact of VPCL's activities



The ESG department ensures effective vertical and horizontal coordination across the organisation and oversees the implementation of ESG initiatives at the operational level. It is responsible for collecting, validating, and submitting activity data using standardised templates, while supporting business units with technical expertise and guidance. The department maintains documentation related to

emissions calculations, evidence of reductions, and regulatory compliance, and prepares monthly and annual ESG reports for review and submission to the ESG Committee. This commitment ensures that employees are well informed and meaningfully engaged throughout the change process, reinforcing our dedication to fair, transparent, and respectful labour practices.



Business units (manufacturing plants)

Plant-level teams are responsible for identifying mitigation actions, conducting techno-economic assessments, and managing implementation timelines for approved initiatives. They monitor progress against defined KPIs and report

performance data regularly to the ESG Department. These teams also maintain accurate documentation related to emissions calculations, evidence of reductions achieved, and compliance records to support internal review and external assurance.

Stakeholder Engagement:

The governance structure enables structured engagement with both internal and external stakeholders, including investors, regulators, and community representatives, ensuring transparency and responsiveness to evolving sustainability



expectations. Through defined stakeholder engagement mechanisms, management queries are addressed in a transparent manner, and employee interests are represented through established union agreements and formal communication channels

Other Committees

HEALTH & SAFETY COMMITTEE

Vasudha's Health, and Safety committee is focused on protecting the environment and safeguarding the health and safety of employees, contractors, customers, suppliers, and the surrounding community. The Company proactively works to identify, assess, and reduce the risk of incidents, occupational injuries, and health hazards across its operations. Vasudha is committed to environmental protection, pollution prevention, and the prevention

of work-related injury and ill health, considering these as core responsibilities and an integral part of its business operations and decision-making processes.

VPCL has established a structured mechanism for worker consultation and participation in Occupational Health & Safety (OH&S) matters in line with ISO 45001:2018 requirements.

Safety Committee Structure

- A formal Safety Committee is constituted with equal representation from management staff and contract workers.
- Members include:
 - ◆ Management Representative (MR)
 - ◆ Management Appointee (MA)
 - ◆ Department Heads
 - ◆ Safety Officer
 - ◆ Worker Representatives (including contract workforce)
- The committee ensures active participation from employees at all levels.

Frequency of Meetings

- Safety Committee meetings are conducted once every three months.
- Minutes of Meeting (MOM) are documented and submitted to statutory authorities as required.
- Outcomes are reviewed during Management Review Meetings (MRM).



Roles & Responsibilities

The Safety Committee is responsible for:

- Reviewing workplace hazards and risk assessments (HIRA / Aspect-Impact Evaluation)
- Monitoring accident/incident reports and corrective actions
- Reviewing unsafe acts and unsafe conditions
- Evaluating emergency preparedness and mock drill performance
- Recommending improvements in workplace safety and health measures
- Reviewing worker grievances related to workplace safety
- Ensuring participation in incident investigations

Decisions taken by the committee are implemented through departmental heads with oversight from the MR/MA and reviewed by top management.

NOMINATION & REMUNERATION COMMITTEE (NRC)

Focus areas:

NRC Focus	Purpose
Executive compensation	Benchmarking, market alignment, performance-linked
Sustainability-linked metrics	ESG-dependent pay elements
Diversity & leadership development	Future-ready leadership pipeline
Stakeholder feedback	AGM engagement, independent advisor inputs

Remuneration consultants involved are independent and conflict-free.

At VPCL, there were no reported cases of discrimination during the reporting period.

Across all units, over 40 anti-discrimination awareness sessions were conducted to reinforce workplace culture and improve employee awareness.

Accordingly:



No incidents were reviewed by the organization.



No remediation plans were required or implemented.



No incidents were subject to internal management review processes.



No incidents remained subject to action at the end of the reporting period.

The Company maintains an Anti-Harassment & POSH Policy and a Non-Discrimination & Equal Opportunity Policy. A grievance committee is established to address concerns raised by employees and third-party contractors. All complaints received are formally recorded, reviewed, and addressed in accordance with established procedures.

Policy Frameworks

VPCL maintains a comprehensive policy ecosystem supporting ethical operations and responsible employment.

EMPLOYEE WELFARE

VPCL has established a range of employee-focused policies to support welfare and financial well-being, including the Employee Welfare Initiatives Policy, Bereavement Support and Funeral Assistance Policy providing financial aid of ₹20,000, a Salary Advance Policy, and a framework for compensation

to dependents along with voluntary employee contributions.

The Company respects employees' rights to freedom of association and does not discourage the formation of, or participation in, employee unions.

WORK-LIFE & SPECIAL BENEFITS

Policies	Support Provided
Maternity Leave & Benefits	Working mothers & family health
Marriage Gift Policy	Recognition of milestones
Superannuation & Retirement	Formal retirement at 60; re-employment possible
Special leave & support	Bereavement support, relocation support



CHILD AND FORCED LABOR POLICIES

During the reporting period, the Company assessed its operations and suppliers for significant risk of incidents of child labor and forced or compulsory labor, considering the type of operation and supplier, including pharmaceutical manufacturing operations, raw material suppliers, and service providers, across our operations.

Based on this assessment, no operations or suppliers were identified as having significant risk

for incidents of child labor or forced or compulsory labor. The Company complies with applicable Indian labor laws prohibiting child labor and forced or bonded labor, maintains formal employment documentation processes, and conducts supplier onboarding verification, including statutory compliance validation. The Company maintains a zero-tolerance approach toward child labor and forced or compulsory labor within its operations.

Workplace Culture & Conduct



Code of Conduct



Anti-Harassment & POSH Policy



Non-Discrimination & Equal Opportunity



Child & Forced Labour Prevention

Safety, Quality & Operations



Environment, Health & Safety Policy



Quality Management Systems



Contract Labour Management

Digital Responsibility



Cybersecurity Policy



Asset & Data Privacy Protection Framework



Periodic vulnerability testing and encryption practices

Governance & Compliance



Corporate Governance Policy



Anti-Corruption & Bribery Policy



Conflict of Interest Policy



Remuneration & NRC Policy



Stakeholder Engagement Policy

TOGETHER FOR A SUSTAINABLE FUTURE

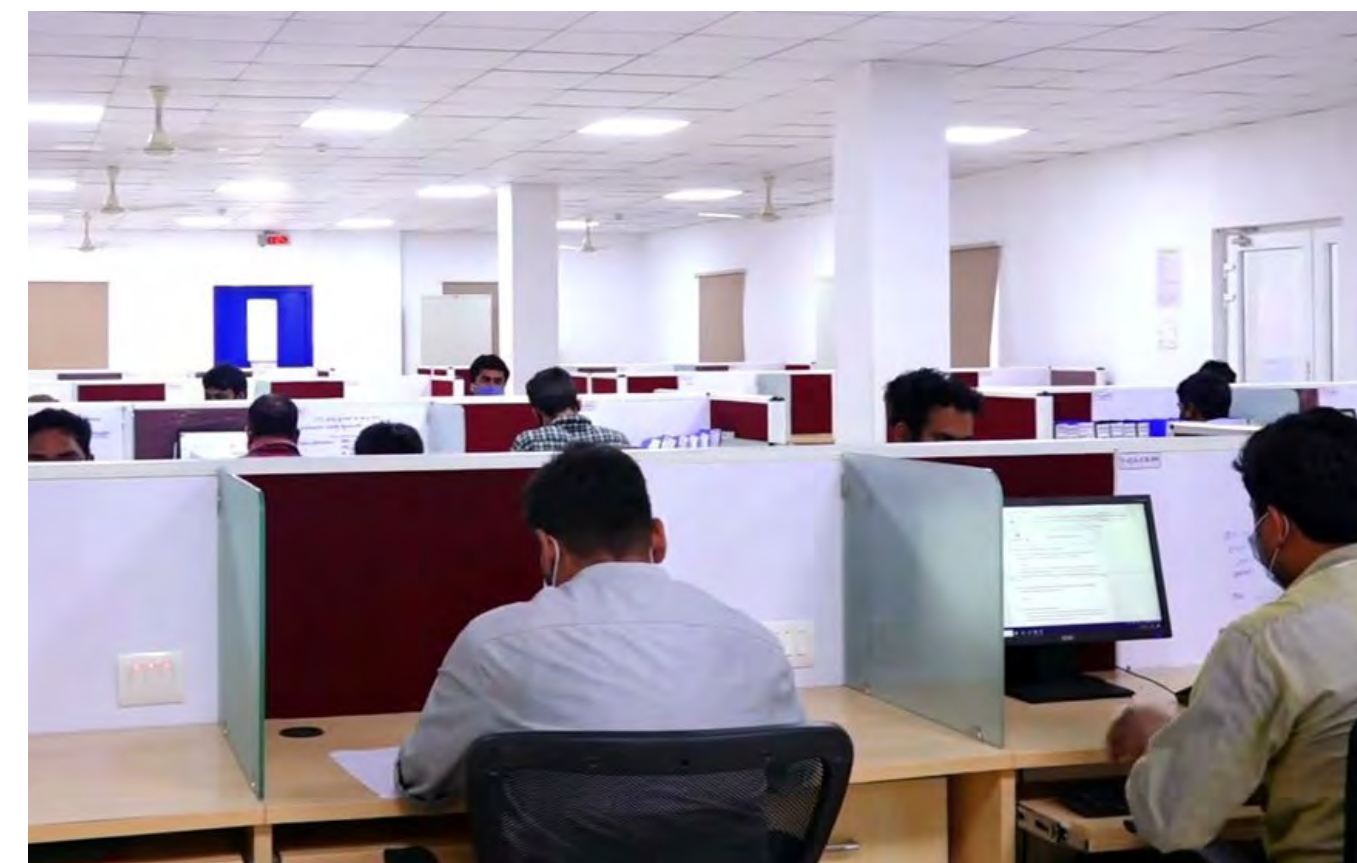
Training & Development for Governance Excellence

POLICY AWARENESS AND CAPABILITY BUILDING

VPCL provides structured training to build strong awareness of governance and compliance requirements across the organisation. Employees receive training on the Code of Ethics and Anti-Bribery practices, anti-discrimination and POSH requirements, safety and quality systems (including GMP, EHS, and QMS), cybersecurity and data protection, HR policies, welfare and benefits, and conflict of interest and compliance processes.

Vasudha Pharma Chem Limited has established internal mechanisms to ensure that critical concerns,

including regulatory non-compliance, ethical issues, environmental or safety incidents, and significant operational risks, are escalated through defined reporting channels. Matters of material significance are communicated to senior management and, where required, to the Board of Directors through periodic reviews or special briefings. During the reporting period, no critical concerns requiring direct intervention by the highest governance body were reported.





ONBOARDING AND CONTINUOUS LEARNING

The Company follows a structured capability-building approach that includes comprehensive induction programmes covering safety, GMP, fire safety, and job-specific competencies. An annual training calendar aligned with defined skills matrices supports

continuous upskilling, while performance-linked development programmes, higher education support, and leadership development pathways enable long-term career growth.

SERVING CUSTOMERS RESPONSIBLY

VPCL's customer-centric governance framework focuses on delivering products with uncompromising quality and compliance with global pharmaceutical standards. Training and governance practices

emphasise systematic capture of customer feedback, continuous improvement, and responsible communication and ethical marketing across all customer interactions.

HUMAN RIGHTS AWARENESS AND GRIEVANCE MECHANISMS

Human rights awareness is embedded through training on organisational policies such as freedom of association, POSH, and grievance mechanisms. Employees across reporting units receive human-rights-related training, supported by organisation-wide human rights risk assessments. The Company maintains formal grievance-handling structures, including the Works Committee, POSH Committee, and Grievance Redressal Committee, to ensure fair and transparent resolution of concerns.

A registered workers' union is established at the Hyderabad manufacturing unit. Based on the

assessment, no operations or suppliers were identified where workers' rights to exercise freedom of association or collective bargaining may be violated or at significant risk.

During the reporting period, the Company supported the rights to exercise freedom of association and collective bargaining through compliance with applicable Indian labor laws, recognition of the registered workers' union, implementation of a Human Rights Policy, maintenance of formal employment contracts, and operation of an employee grievance mechanism.

TOGETHER FOR A SUSTAINABLE FUTURE

Workers are consulted on changes affecting workplace OH&S.

Employee participation is ensured in:



Safety Committee



Grievance Committee



POSH Committee



Incident/Accident Investigations



Risk Assessments (HIRA/HAZOP where practicable)

The organization promotes constructive worker-management relationships.

Vasudha Pharma Chem Limited is committed to maintaining high standards of integrity and transparency. The organization has established internal policies and governance procedures to identify, prevent, and manage potential conflicts of interest involving members of the highest governance body, senior management, and employees.

Board members and senior management are required to disclose any actual or potential conflicts of interest, including financial interests, related party transactions, outside employment, or other relationships that may influence decision-making. Such disclosures are reviewed in accordance with applicable legal and regulatory requirements, and appropriate mitigation measures are implemented where necessary. During the reporting period, no material conflicts of interest were reported.

MINIMUM NOTICE PERIODS REGARDING OPERATIONAL CHANGES

At the Hyderabad location, a registered labour union is established in one of the eight operational units. Currently, shift-based operations are applicable only to the R&D unit.

In the event of significant operational changes, including shift modifications or restructuring within the limited operational location, the Company provides prior notice to affected employees and union representatives in accordance with applicable legal requirements and collective bargaining practices. A minimum notice period of 21 days is provided before implementation of such changes.

The organization engages in structured consultation and collective bargaining discussions with union representatives once every three years, or as required, to review employment terms, operational requirements, and workforce-related matters. During these consultations, employee concerns and requirements are formally captured and addressed through mutual discussion.

The Company remains committed to transparent communication and constructive engagement with employees and union representatives regarding any future operational changes.

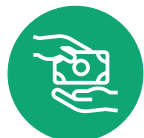


COLLECTIVE BARGAINING & EMPLOYEE RELATIONS

The Union Agreement (2022–2025) highlights the organization’s commitment to collaborative and transparent industrial relations. After extensive negotiations and facilitated conciliation, both parties reached a settlement that strengthened:



Wage enhancement across three years



Improved Variable Dearness Allowance adjustments



Medical insurance coverage up to ₹4 lakhs for employees and dependents



Festival/Salary advances



PPE provisions (aprons, safety shoes, socks)



Night shift support



Funeral expenses, benevolent fund support, and medical leave practices



A commitment to productivity, discipline, compliance, and clean workplace culture

The agreement also emphasizes zero tolerance for illegal strikes or lockouts and ensures harmonious industrial relations to support sustainable operations and worker wellbeing.

Ethics, Anti-Corruption & Compliance

ETHICAL CONDUCT & COMPLIANCE CULTURE

Ethics and integrity form the foundation of our operating philosophy. We expect every employee, partner, and stakeholder to uphold the highest ethical standards in business conduct. Our Code of Conduct outlines clear expectations related to:



Zero-tolerance for bribery, corruption, and conflicts of interest



Responsible communication, anti-fraud standards, and whistle-blower protections



Fair competition and compliance with global trade and quality regulations



Safe, responsible, and ethical handling of products, research, and information

TOGETHER FOR A SUSTAINABLE FUTURE

We maintain mechanisms to report misconduct confidentially and securely, ensuring ethical issues are addressed with diligence and fairness. All operational units, including R&D and Corporate Offices, were assessed during the reporting period, and zero incidents related to corruption, bribery, or anti-competitive behaviour were recorded.

During the reporting period, zero confirmed incidents of corruption were recorded. There were no dismissals or disciplinary actions taken against employees for corruption-related matters, no contracts terminated with business partners due to corruption, and no public legal cases filed relating to corruption. The Company maintains internal controls and ethical standards to prevent and detect any potential instances of corruption.

ETHICAL WORKPLACE & HUMAN RIGHTS (POSH, HR POLICIES, CULTURE DEVELOPMENT)

Prevention of Sexual Harassment (POSH) Compliance

The organization maintains a robust, legally compliant POSH Policy, with amendments updated as recently as 2024. The policy applies to all employees—including contract workers, trainees, and visitors—and defines sexual harassment per the Indian law (IPC & POSH Act) along with detailed examples and redressal mechanisms.

A fully functional Internal Complaints Committee (ICC) is established in every unit, consisting of:



A Presiding Officer (senior woman employee)



Internal members with legal awareness



An external POSH expert



At least 50% women representation

The ICC meets quarterly, responds to complaints within seven days, completes inquiries within 90 days, and reports annually to the district authorities—ensuring full compliance with statutory requirements and promoting a harassment free workplace.



HR POLICY TRAINING & DIGITAL HR SYSTEMS

The HR Annual Training Schedule (2024) includes periodic sensitization and capacity building on:



Career
Development



Leave & Compensation
Policies



Code of Ethics



Contract Labour
Management



Anti Discrimination &
Anti Harassment



Reward & Recognition



Salary Advance &
Welfare Policies

Additionally, employees received training on HRIS & PMS (People Strong Digital Platform) to enhance transparency, data accuracy, and digital governance in HR processes.

INDUCTION PROGRAMS FOR NEW EMPLOYEES

A structured induction program is in place to onboard new employees with clear expectations on organizational values, HR processes, compliance expectations, and digital tools required for day-to-day operations. The training records reflect participation across departments including QC, Production, HR, and Administration

Policy Name	Detailed Scope / Applicability	Key Governance / Oversight Mechanism
Anti-Discrimination & Anti-Harassment Policy 	Applicable to all employees including supervisors, management personnel, and employees of associated/group companies. Covers recruitment, employment conditions, compensation, training, promotions, workplace safety, and termination. Prohibits discrimination or harassment based on age, gender, caste, creed, religion, disability, marital status, national origin, or any other protected characteristic.	Grievance Committee investigates reported cases impartially and submits findings to management for disciplinary action.

Policy Name	Detailed Scope / Applicability	Key Governance / Oversight Mechanism
Incident Reporting & Investigation SOP 	Applicable across all operational units and functions. Covers reporting and management of incidents, accidents, and near-miss events involving employees, contractors, equipment, or processes. Ensures timely escalation, documentation, root-cause analysis, and corrective actions.	Multidisciplinary investigation team conducts root-cause analysis; CAPA tracked; major incidents reported to authorities where applicable.
Sustainable Procurement Policy 	Applicable to all employees involved in procurement, vendor selection, and purchasing decisions, as well as relevant stakeholders and suppliers. Integrates environmental, social, and economic sustainability criteria into sourcing decisions, including waste reduction, energy efficiency, lifecycle cost, regulatory compliance, and support for local businesses.	Purchasing personnel oversee implementation, vendor collaboration, sustainability data tracking, and annual performance review.
CSR Policy 	Applicable to CSR Committee, Board oversight, and implementation teams across the organization. Covers community development initiatives aligned with Schedule VII of the Companies Act, including healthcare, education, sanitation, livelihood enhancement, environmental sustainability, and rural development.	CSR Committee oversees planning, budgeting, implementation, monitoring, and reporting of CSR activities.
Employee Farewell Policy 	Applicable to regular employees who have completed a minimum of three years of continuous service. Governs formal recognition of employee contributions upon separation from the organization.	Department-led implementation with management oversight to ensure consistency and fairness.
EOHS Policy 	Applicable to all employees, contractors, suppliers, visitors, customers, and other stakeholders impacted by operations. Covers environmental protection, occupational health and safety, regulatory compliance, hazard identification, risk mitigation, pollution prevention, and emergency preparedness.	Management-led EOHS framework with periodic review, risk assessments, compliance monitoring, and stakeholder transparency.
Freedom of Association Policy 	Applicable to all regular employees, ensuring their right to form lawful associations or committees in accordance with Government of India guidelines without discrimination or interference.	Internal monitoring committee reviews compliance quarterly and reports to management.



Policy Name	Detailed Scope / Applicability	Key Governance / Oversight Mechanism
Higher Education Policy 	Applicable to regular employees with a minimum of three years of continuous service seeking to pursue approved higher education relevant to their role and organizational requirements. Includes reimbursement structure, service commitment conditions, and approval process.	Head of Department recommendation; Corporate HR and Director approval; reimbursement monitoring and recovery mechanism.
Human Rights Policy 	Applicable across all operations, subsidiaries, suppliers, contractors, and value-chain partners. Covers prohibition of forced labor, child labor, discrimination, and harassment; ensures fair wages, safe working conditions, freedom of association, and respect for privacy and community rights.	Ongoing human-rights risk assessment, grievance mechanisms, and value-chain engagement for compliance and mitigation.
Prevention of Bribery & Corruption Policy 	Applicable to all employees, Directors, and representatives of the organization. Prohibits bribery, facilitation payments, improper gifts, or any undue advantage in business dealings. Covers financial transparency, record keeping, and ethical conduct.	Mandatory disclosures; investigation of violations; disciplinary action; whistleblower protection mechanisms.
Recruitment & Selection Policy 	Applicable to all hiring activities across the organization. Covers manpower requisition approval, job descriptions, screening, interview panel evaluation, background verification, and offer approval processes. Ensures merit-based and transparent recruitment without charging fees to applicants.	HR-led structured recruitment process with cross-functional panel evaluation and management approval.
Reward & Recognition Policy 	Applicable to all regular employees across the organization and associated companies. Recognizes innovation, cost savings, quality improvement, safety initiatives, teamwork, and exceptional performance through structured evaluation and approval mechanisms.	Recommendations reviewed by Rewards Committee; final approval by Directors; HR ensures consistent implementation.
Salary Advance Policy 	Applicable to regular employees with a minimum of one year of continuous service. Allows interest-free salary advances for specified personal exigencies, subject to approval and structured repayment terms.	HR and management approval; monitored repayment schedule; recovery prior to separation if applicable.
Vigil Mechanism / Whistle Blower Policy 	Applicable to Directors and employees to report unethical behavior, fraud, misconduct, or violations of company policies. Provides secure reporting channels and protection against retaliation.	Vigilance Officer / Audit Committee investigates disclosures; corrective action recommended; records maintained confidentially.

DATA INTEGRITY & REGULATORY COMPLIANCE

Pharmaceutical operations require precision, traceability, and compliance across the value chain. At VPCL, we uphold advanced data-integrity systems across R&D, quality, supply chain, and manufacturing functions. All facilities operate with global GMP protocols and undergo periodic regulatory audits to ensure adherence to local and global quality and safety standards.

Our compliance culture integrates:



Robust quality systems



Digital documentation and audit trails



Cross-functional regulatory training



Periodic compliance risk assessments

Integrity at the Core

VPCL operates on a strong foundation of integrity and compliant conduct, supported by a comprehensive governance framework. This includes a Code of Ethics, Anti-Corruption and Bribery Policy, Conflict of Interest Policy, and robust Whistleblower and Grievance Mechanisms. The Company upholds financial discipline, transparent communication, and safeguards intellectual and physical assets, reinforcing ethical behaviour across all operations

Core Ethical Principles



Zero-tolerance for bribery & corruption



Prohibition of gifts beyond token value



Mandatory conflict-of-interest disclosures



Confidentiality & data privacy commitment



Responsible use of company assets



Fair competition, anti-fraud practices





Employee Conduct Expectations

Employees must adhere to:



Ethical communication & conduct



Respectful workplace behaviour



Timely reporting & attendance adherence



Corporate dress & professionalism rules



Responsible use of benefits and resources

Supporting Ethical Culture



Policy awareness programs



Periodic training for all employees



Leadership engagement forums



Transparent and confidential grievance channels

Whistleblower Protection



Anonymous reporting channels



Non-retaliation guaranteed



Formal investigation mechanisms



Enterprise Risk Management (including ESG Risks)

BOARD-LEVEL ESG INTEGRATION

Sustainability governance at VPCL is integrated at the highest level. The Board reviews ESG performance, climate-related progress, and responsible business commitments as part of strategic oversight. Key sustainability themes — energy transition, environmental responsibility, safety culture, responsible procurement,

workforce development, and community partnerships — are embedded into business priorities.

The leadership team evaluates ESG performance indicators, reviews risk exposure, and monitors progress against long-term sustainability goals aligned to global expectations and India's national development agenda.

RISK MANAGEMENT & FUTURE PREPAREDNESS

Pharma operations and supply chains operate in a dynamic regulatory and geopolitical environment. VPCL follows a structured enterprise risk

management framework that identifies, evaluates, and mitigates business, operational, environmental, and compliance risks.

Our risk priorities include:



Pharmaceutical regulatory and quality compliance



Environmental sustainability and climate-related risks



Occupational health & safety



Supply chain continuity and raw material availability



Cyber-security and data integrity



Geopolitical and market-access considerations

Risk oversight includes scenario planning, preventive controls, and cross-functional response mechanisms, ensuring business resilience and operational continuity.



STAKEHOLDER TRUST & TRANSPARENCY

Transparency is central to our governance philosophy. We engage proactively with stakeholders — including employees, customers, regulators, industry bodies, suppliers, and communities — to ensure decisions reflect shared priorities and long-term societal expectations.

GOVERNANCE OUTLOOK

As we expand our global footprint, we remain committed to continuously strengthening governance systems, integrating ESG metrics into business performance, and enhancing board oversight on sustainability, innovation, and stakeholder value creation. Our goal is to build a resilient, compliant, and ethical enterprise capable

Our approach emphasizes open communication, responsible reporting, and proactive disclosure on sustainability and ESG performance through BRSR, GRI-referenced sustainability reporting, and integrated disclosures.

of delivering sustainable growth and meaningful impact in the healthcare value chain.

We believe governance is not a framework — it is a culture. At VPCL, that culture is deeply rooted in scientific discipline, transparency, and our responsibility to society and future generations

RISK MANAGEMENT PHILOSOPHY

VPCL maintains a structured risk management system ensuring business resilience and regulatory compliance.

Key Risk Categories



Health, Safety & Environment

Zero harm, chemical handling, emissions, waste



Regulatory & Legal

Full pharmaceutical compliance



Operational

GMP adherence, supply chain continuity



Cybersecurity & Data Privacy

Encryption, monitoring, employee training



Climate & Sustainability

Energy transition, climate adaptation



Social Risks

Talent availability, labour relations, community concerns



Reputational

Responsible communication & public trust

COMPLIANCE PERFORMANCE FY 2024-25

Indicator	Result
Major regulatory non-compliance	0
Fines or financial penalties	0
Operational shutdowns due to safety matters	0
Cybersecurity breaches	0

TOGETHER FOR A SUSTAINABLE FUTURE





PLANET — PRESERVING THE ENVIRONMENT FOR TOMORROW



TOGETHER FOR A SUSTAINABLE FUTURE

ENVIRONMENTAL STEWARDSHIP — HEALING THE PLANET, BEYOND THE PILL

At VPCL, environmental stewardship forms a foundational pillar of our sustainability journey. While our core mission lies in providing high-quality pharmaceutical solutions, we believe true leadership also lies in reducing our ecological footprint and

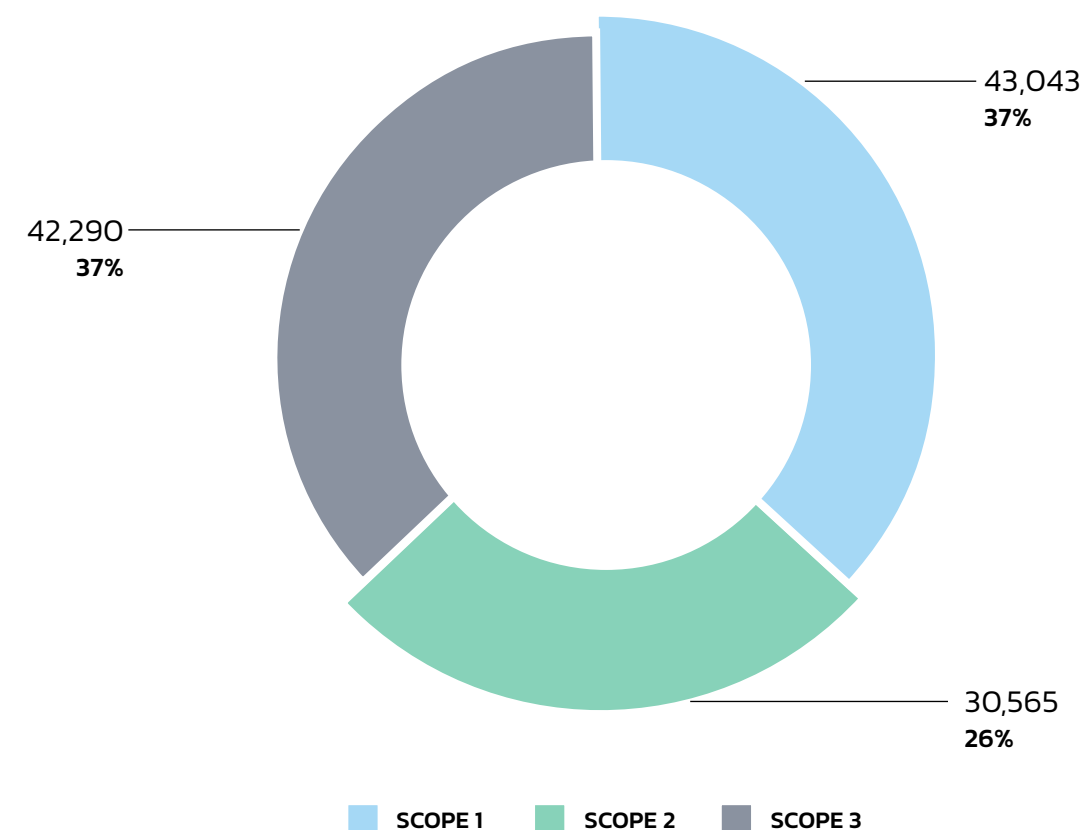
restoring natural balance. This chapter presents our FY 2024–25 progress, challenges, and forward-looking strategy across climate, energy, water, waste, circularity, pollution control, and biodiversity.

Climate Change & Emissions (Scope 1 / 2 / 3)

a. Overview & Approach

In FY 2024–25, we reaffirmed our commitment to deep decarbonization by refining our emission accounting, strengthening our baseline, and calibrating target pathways aligned to science-based frameworks. We adopted enhanced measurement protocols, engaged third-party verifiers, and improved data granularity across upstream and downstream value chains.

GHG Emissions (tCO₂) Scope 1,2 &3





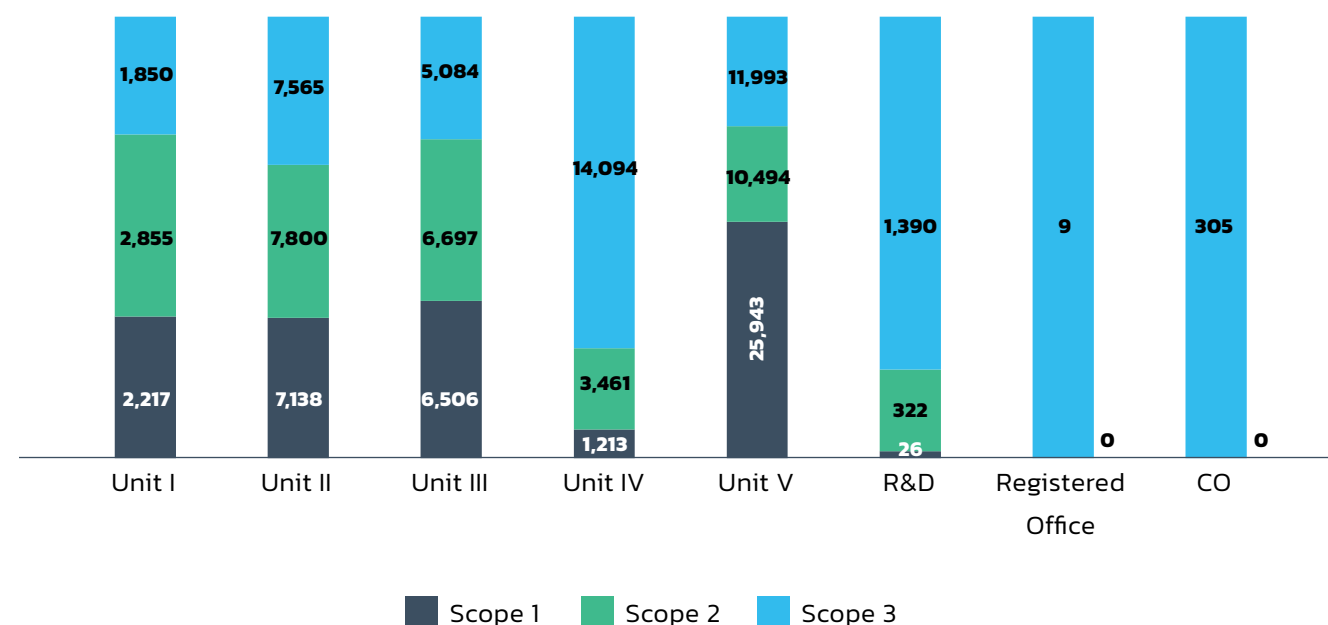
b. Scope 1 & 2 Performance

- **Scope 1 (Direct emissions):** Our direct emissions from on-site fuel combustion, process emissions, and company-owned vehicles have been carefully monitored and optimized. A 18.97 % rise in Scope 1 emissions was recorded this year, primarily driven by enhanced production capacity and operational expansion. Focused energy optimization and cleaner fuel transition measures helped offset potential intensity increases.
- **Scope 2 (Indirect emissions from purchased electricity):** We renegotiated power procurement agreements, increased onsite renewable energy, and invested in grid-connected green power. The emissions intensity (kg CO₂e per unit output) from electricity consumption increased by 3.16 %.
- In both scopes, enhanced energy metering, real-time monitoring dashboards, and periodic audits were deployed to ensure accuracy and prompt corrective actions.

c. Scope 3 Emissions Performance Summary (FY 2024–25)

In FY 2024–25, Vasudha Pharma recorded a notable increase in total Scope 3 emissions, reflecting expanded production, supplier engagement coverage, and improved data capture across the value chain. Overall, Scope 3 emissions rose across several categories, indicating both growth in operational scale and enhanced transparency in reporting boundaries.

GHG Emission Unit Wise Breakdown



KEY CATEGORY- WISE INSIGHTS:

Category 1 – Purchased Goods and Services

Emissions from this category showed a moderate increase, primarily driven by higher procurement of raw materials and intermediates to support capacity expansion. Vasudha continues to work towards greener sourcing, supplier engagement, and integrating sustainability criteria in procurement to mitigate upstream material-related emissions.

Category 2 – Capital Goods

Emissions rose significantly due to infrastructure enhancement, installation of new process equipment, and technology modernization projects undertaken during the reporting period. These capital investments are strategic, aimed at improving long-term energy efficiency and reducing operational emissions in future years.

Category 3 – Fuel- and Energy-Related Activities (not included in Scope 1 or 2)

A marginal rise was observed in this category, aligned with increased overall energy consumption. However, Vasudha's growing adoption of cleaner fuels, renewable energy sources, and energy efficiency measures has helped moderate this impact.

Category 5 – Waste Generated in Operations

A reduction in emissions was achieved, reflecting the effectiveness of Vasudha's waste minimization initiatives such as improved segregation, solvent recovery, and enhanced recycling and co-processing. These measures contribute to reduced landfill dependency and promote circularity.

Category 6 – Business Travel

Emissions from business travel declined slightly, supported by the continued adoption of hybrid working models, virtual meetings, and optimized travel planning, resulting in avoided travel-related emissions.

Category 7 – Employee Commuting

A moderate increase was noted, corresponding with workforce expansion and enhanced plant-level activity. To address this, Vasudha is exploring green mobility programs, including carpooling initiatives, use of electric vehicles, and shared transport systems for employees.

Category 9 – Downstream Transportation and Distribution

Emissions in this category increased due to higher shipment volumes and a broader customer base. The company is engaging with its downstream logistics partners to adopt sustainable transport modes, improve vehicle efficiency, and explore low-carbon logistics alternatives.



d. Targets & Roadmap



Short-term:

Reduce total emissions (Scopes 1+2+3) intensity



Mid-term:

Aim for Net Zero by 2050 with interim milestones in 2035 (e.g., 30 % reduction).



Strategy:

Deep electrification, renewable energy expansion, regenerative procurement, carbon capture (where applicable), and offsetting only residual emissions (with high-integrity credits).

CARBON REDUCTION INITIATIVES AND STRATEGIES

Vasudha Pharma remains committed to achieving progressive carbon reduction through a multi-pronged approach that integrates operational efficiency, renewable energy adoption, and cleaner production practices.

During FY 2024–25, Vasudha completed a comprehensive Scope 1, 2, and 3 GHG inventory, enabling greater transparency and setting the foundation for science-aligned emission reduction targets to be finalized in FY 2026–27.

Key actions during the year included:



Fuel substitution:

Pilot-scale transition from coal to biomass briquettes in selected boiler units, reducing direct fossil fuel dependency.



Energy efficiency upgrades:

Replacement of low-efficiency motors with IE3-rated motors and installation of variable frequency drives (VFDs) across HVAC and process equipment, leading to measurable energy savings.



GHG accounting system

enhancement: Introduction of standardized emission tracking tools across business units, enabling consistent reporting and verification.

Collectively, these initiatives laid a strong foundation for Vasudha's decarbonization roadmap. Although Scope 1 emissions rose due to capacity expansion, emission intensity per unit output remained stable through continuous efficiency improvements.

TOGETHER FOR A SUSTAINABLE FUTURE

Energy Management & Renewable Energy

a. Energy Strategy

Our energy strategy in FY 2024–25 centred on efficiency first, generation next. We deployed lean energy practices, process heat integration, and digital energy controls to compress demand, while expanding the share of renewable energy.

EFFICIENCY MEASURES & RESULTS

During FY 2024–25, VPCL implemented a range of energy efficiency initiatives aimed at optimizing resource use and reducing operational emissions. Key measures included:



Retrofitting of HVAC systems, replacement of outdated motors with high-efficiency units, and installation of variable frequency drives (VFDs)



Process-level heat recovery systems captured waste heat streams from reactors and dryers, offsetting the use of fresh steam and fuel.



A centralized Energy Management System (EMS) with sub-metering across production and utility zones enabled real-time monitoring and anomaly detection, including idle loads and power factor drops.

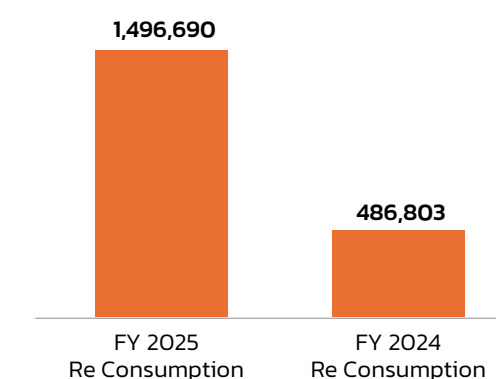


Night-time cooling optimization through a pre-cooling strategy in HVAC systems reduced load peaks and lowered demand charges.

RENEWABLE ENERGY DEPLOYMENT

In the reporting year, VPCL continued its transition towards low-carbon energy sources. The company voluntarily procured 15 Renewable Energy Certificates (RECs) from third-party suppliers to supplement its onsite generation. As a result, the renewable electricity share increased from 1.2% in FY 2023–24 to 3.28% in FY 2024–25, primarily sourced from Manufacturing Units II, IV, and V. This initiative enabled the avoidance of 1,088 tCO₂e emissions, demonstrating tangible environmental impact while reinforcing the company's commitment to cleaner energy adoption.

Renewable Energy Consumption (KWh)





OUTLOOK AND DECARBONIZATION ROADMAP

VPCL has completed the estimation of Scope 1, 2, and 3 emissions. While the expanded assessment scope and refined methodology have delayed formal target-setting, official reduction targets are planned for FY 2025. In the interim, ongoing initiatives — including energy efficiency optimization, expansion of renewable energy adoption, and substitution of coal with biomass briquettes in boilers — are delivering measurable near-term reductions and establishing a strong foundation for the company's long-term decarbonization strategy.

Over the next five years, VPCL expects a gradual reduction in Scope 1 and 2 emissions through:



Scaling renewable energy procurement across manufacturing units,



Substituting coal with biomass briquettes in boiler operations, and



Implementing advanced energy efficiency measures across all facilities.

While exact reduction pathways will be finalized once formal targets are adopted, these initiatives are projected to achieve steady year-on-year improvements in emissions intensity, laying the groundwork for absolute reductions and ensuring alignment with VPCL's long-term sustainability roadmap.

STRATEGIC PROGRESS IN FY 2024–25

During the reporting year, the company prioritized the development of a structured emissions reduction roadmap, completing detailed assessments of Scope 1 and 2 emissions, while initiating estimation of Scope 3 emissions across the value chain. Although no large-scale reduction projects were formally implemented, significant progress was made in data collection, methodology refinement, and identification of priority intervention areas. This positions VPCL to implement targeted initiatives in the upcoming year, including:



Optimization of energy efficiency measures,



Scaling renewable energy adoption, and



Reducing dependence on fossil fuels.

By FY 2025, the company aims to roll out multiple emissions reduction projects, ensuring measurable progress toward its long-term decarbonization goals.

ENVIRONMENTAL MANAGEMENT & SUSTAINABLE OPERATIONS

Sustainability focused themes are embedded across multiple components of the training and governance structure. The EHS training calendar emphasizes environmental topics such as:



Waste Segregation
(Hazardous vs. non hazardous)



Water conservation and HTDS/LTDS
effluent segregation



Detoxification processes



Statutory requirements
under environmental
regulations



Emergency response to chemical
leaks, toxic gas release, and
pollution related risks

These routine trainings support compliance with CPCB guidelines, ISO 14001 environmental management principles, and internal sustainability goals for reduced water use, safer chemical handling, and effective waste management.





WATER STEWARDSHIP

At VPCL, responsible water management is recognized as a critical component of sustainable operations. Water conservation is prioritized alongside our commitment to sustainable economic growth, operational resilience, and environmental stewardship. While formal reduction targets are still under development due to the need for substantial upfront investments and alignment with other environmental initiatives, water stewardship has been formally presented to the Board. Guidance has been provided to evaluate water dependencies, risks, and efficiency opportunities across all business units.

WATER USE OVERVIEW

During FY 2024–25, total water withdrawal marginally increased to 210.668 ML, representing a +0.07% change compared to FY 2023–24. The increase in third-party water consumption to 210.668 ML (0.07%). Water consumption increased from 112.31 ML to 210.668 ML (+87.58%), demonstrating incremental efficiency gains across operations.

APPROACH TO WATER MANAGEMENT

VPCL's water management framework is built on accuracy, transparency, and regulatory compliance. Water consumption is monitored across all facilities via

calibrated water meters at critical points of use. Data is validated through monthly invoices, ensuring reliability and precision. This systematic approach enables the

company to track trends, identify inefficiencies, and implement water-saving measures effectively.

As part of our ESG strategy, initiatives to reuse and recycle water are being progressively implemented

EFFLUENT MANAGEMENT & COMPLIANCE

Pharmaceutical manufacturing generates effluents containing organic and inorganic substances, including nitrates, phosphates, and heavy metals. Water discharges from VPCL facilities receive primary-level treatment, limited to pH correction at the site. Discharges are categorized into High Total Dissolved Solids (HTDS) and Low Total Dissolved Solids (LTDS) streams, with treatment tailored to their characteristics before release to Common Effluent Treatment Plants (CETP), Sewage Treatment Plants (STP), or non-potable reuse applications such as garden irrigation.

During the reporting year, total water discharge increased by 8.41%, primarily due to higher production volumes. Despite this increase, 100% of discharged

water met prescribed quality standards, maintaining strict compliance with Pollution Control Board (PCB) regulations. Real-time monitoring systems, supplemented by monthly third-party sampling and analysis, ensure effluent quality across critical parameters such as pH, BOD, COD, total suspended solids, and specific hazardous substances.

The integrated monitoring framework, in coordination with EHS and operations teams, ensures that deviations are promptly addressed, supporting safe discharge, regulatory compliance, and broader water stewardship initiatives.

SHORT- AND LONG-TERM GOALS

In the short term, Vasudha Pharma is working closely with all business units to map water requirements, identify efficiency opportunities, and establish a robust water reduction target within the next two years. Initiatives such as process optimization, reuse, recycling, and circular water practices are being evaluated to reduce freshwater dependency further.

Over the medium to long term, water stewardship is expected to:



Enhance operational resilience,



Reduce water consumption intensity, and



Contribute meaningfully to environmental sustainability and the company's ESG commitments.

Through these efforts, Vasudha Pharma demonstrates a proactive and structured approach to water conservation, effluent management, and resource efficiency, aligning with global sustainability standards and preparing the company for future regulatory and operational challenges.



WATER MANAGEMENT AND SUSTAINABILITY INITIATIVES

Water sustainability remains integral to VPCL's operational and environmental strategy. During FY 2024–25, total water withdrawal increased marginally by 0.07%, due to improved process optimization and water efficiency projects.

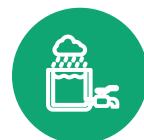
Key initiatives include:



Installation of flow meters and sub-metering systems across high-consumption areas for precise monitoring.



Implementation of condensate recovery systems to reuse process water.



Evaluation of rainwater harvesting structures for selected sites at high-water-use facilities.

In the near term, Vasudha aims to establish structured water reduction targets and integrate water risk mapping across all units to identify dependency hotspots and enhance resilience.

WATER SOURCING AND RESPONSIBLE USE

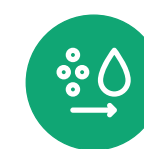
Operational water is sourced responsibly through APIIC (Andhra Pradesh Industrial Infrastructure Corporation), HMWS (Hyderabad Metropolitan Water Supply) pipelines and authorized water suppliers

through tankers in Telangana. This ensures consistent supply while reducing dependence on natural water bodies and safeguarding local groundwater resources.



WATER RECYCLING AND REUSE

VPCL has implemented multiple initiatives to reduce freshwater withdrawal through reuse and recycling practices:



Steam Condensate Recovery: Condensate water from boilers is reused as boiler feed, reducing both water and energy consumption.



RO Reject Utilization: RO reject, and cooling tower blowdown water are repurposed for cooling, scrubbers and gardening.



STP Recycled Water: Treated water from the Sewage Treatment Plant (STP) is reused for landscaping and greenbelt irrigation in one of our manufacturing units.

During FY 2024–25, VPCL successfully recycled and reused approximately 106 Mega Litres (ML) of water across units, significantly reducing the need for freshwater intake.

WASTE MANAGEMENT, CIRCULARITY & POLLUTION CONTROL

VPCL maintains a comprehensive and proactive approach to managing waste, effluents, and emissions — ensuring full alignment with the Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, and GRI 306: Waste 2021 and GRI 303: Water and Effluents 2021.

a. Continuous Effluent Monitoring and Improved Data Collection

VPCL ensures real-time effluent monitoring through the Online Continuous Effluent Monitoring System (OCEMS), as mandated by the Telangana State PCB (TSPCB) and Andhra Pradesh PCB (APPCB).



Effluent quality parameters — including pH, Chemical Oxygen Demand (COD), Total Dissolved Solids (TDS), and Ammonia Nitrogen — are tracked continuously.



Monthly third-party sampling and analysis are conducted to validate the accuracy of internal monitoring data.



VPCL is refining its data management systems to enhance accuracy and transparency and plans to engage an independent third-party verifier within the next two years to strengthen the credibility of water and effluent data reporting.

Regulatory Adherence:

All effluent discharges comply with the conditions outlined in the Consent to Operate (CTO) and are monitored in real-time by state pollution control authorities through the OCEMS network.



b. HTDS and LTDS Effluent Treatment

VPCL segregates effluent streams into High Total Dissolved Solids (HTDS) and Low Total Dissolved Solids (LTDS) categories to ensure targeted treatment.



HTDS and LTDS effluent undergoes pH correction, before being routed to JETL (Hyderabad) or CETP (Anakapalli).



Domestic effluent is treated in STP and reuse the treated water for irrigation of garden after irrigating garden discharge or reuse does not arise.



All treated effluent strictly adheres to prescribed regulatory limits before release or reuse.

The resulting sludge are disposed of at authorized Treatment, Storage and Disposal Facilities (TSDFs), cement industries to prevent soil or groundwater contamination.

c. Water Quality, Monitoring & Compliance

VPCL employs a systematic, multi-tiered approach to ensure water quality and compliance:

In-House Testing:



Daily and monthly chemical and microbiological testing are carried out for potable and purified water.



Internal laboratories monitor key indicators to ensure water used in production and utilities meets safety and quality standards.

Third-Party Verification:



Annual testing by external laboratories confirms that treated water complies with discharge standards and reuse applications.

Performance & Data Systems:



Waste and water data are compiled through structured forms and tracking tools.



Data accuracy is ensured via daily entries in waste transfer records, which are verified monthly for submission to the PCB.

Robust Infrastructure:



All storage and treatment areas are constructed on impermeable concrete platforms, preventing soil or groundwater contamination.



The company recorded zero spillage or leakage incidents in FY 2024–25.

SUSTAINABLE WATER MANAGEMENT AND RECYCLING INITIATIVES

At VPCL, sustainable water stewardship is integral to our operations. We focus on efficient usage, recycling, and regulatory compliance to minimize our environmental footprint.

TREATMENT AND REGULATORY COMPLIANCE

VPCL ensures zero untreated discharge through robust water treatment infrastructure:



Effluent streams are classified as High TDS (HTDS) and Low TDS (LTDS) for specialized treatment.



The Online Continuous Effluent Monitoring System (OCEMS) provides real-time data to CPCB and SPCB, ensuring transparency and compliance.



Effluent temperature, pH, TDS, BOD, COD, and other key parameters are regularly monitored to meet Consent to Operate (CTO) and PCB standards before final discharge to the Common Effluent Treatment Plant (CETP).



The TDS of purchased/treated water is 136 mg/L, which is well within the prescribed limit of 500 mg/L as per the WTP water analytical report.



For wastewater, all LTDS samples fall within the CETP limit of 12,000 mg/L, while HTDS samples range between 35,615–51,818 mg/L, with only one reading slightly above the typical ~50,000 mg/L acceptance level.

Through these initiatives, VPCL continues to advance its commitment to sustainable water management, ensuring every drop is used efficiently, responsibly, and in full compliance with environmental regulations.



d. Hazardous Waste Management and Secure Storage

VPCL follows a stringent protocol for the segregation, labelling, and storage of hazardous waste in fire-protected, covered storage areas.

Hazardous waste is stored securely prior to dispatch to authorized recyclers or disposal facilities, such as:



RAMKY Enviro Engineers,



RE-Sustainability,



NA Enterprises, and



Cement industries under the Alternate Fuel and Raw Material Facility (AFRF) framework.

All hazardous waste movements are tracked through Form III (Waste Manifest) and recorded in the annual Form IV submission to the State PCB before June 30 each year.

e. Hazardous Waste Co-processing, Recycling & Recovery

VPCL maximizes material recovery through:



Co-processing of spent carbon, organic residues, and expired products in cement kilns, displacing fossil fuels and reducing landfill waste.



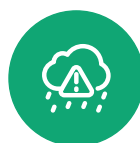
Polyethylene bags, spent solvents and used oils are sent to authorized recyclers, further closing material loops.



The in-house Solvent Recovery System (SRS) which is present in some of the manufacturing units enables efficient reclamation and reuse of solvents, significantly reducing hazardous waste volumes and resource dependency.

f. Pollution Control & Emission Management

VPCL employs a combination of scrubbers, condensers, and activated carbon filters for controlling air emissions:



A double-stage/multi-stage scrubber system captures and neutralizes acid fumes.



A dedicated detoxification room and robust fire safety measures (automatic sprinklers, emergency term cards, and fireproof storage) provide additional safeguards.



Continuous upgrades in combustion control and VOC containment systems have resulted in measurable improvements in air quality across facilities.

g. Data Collection, Reporting & Compliance Framework

VPCL maintains a robust compliance reporting mechanism that ensures accountability and transparency:

Reporting Requirement	Description & Frequency
Form IV	Annual hazardous waste generation, storage, and disposal return to PCB (submitted before June 30)
Form V	Environmental Statement submission to PCB (submitted before September 30)
Monthly Reporting	Waste and effluent management data submitted to PCB and reviewed internally for performance tracking
Internal Systems	Waste Transfer Communication Forms and manifest tracking ensure complete visibility from source to disposal

All records are systematically maintained to meet both statutory and ESG disclosure expectations under SEBI-BRSR and GRI frameworks.

Waste Category	Process Description
(a) Plastics (including packaging)	Plastic and packaging waste is segregated at source and stored in designated areas. It is sent to PCB-authorized recyclers or vendors for proper recycling to prevent landfilling. Efforts are made to minimize plastic usage and promote recyclable packaging.
(b) E-waste	Electronic waste such as obsolete electrical and electronic equipment is collected and safely stored. Disposal is carried out through authorized e-waste recyclers in compliance with the E-Waste (Management) Rules, 2022. Vendor authorization and disposal records are maintained for traceability.
(c) Hazardous waste	Hazardous waste from process areas is collected and segregated into solid and liquid categories as per Collection, storage and disposal of hazardous waste EHS/ SOP. Waste is stored in a dedicated shed with fire protection and sent to PCB-authorized co-processors/pre-processors or recyclers as per CFO guidelines to avoid landfilling.
(d) Other waste	Non-hazardous waste (domestic, organic, and inert) is segregated and handed over to authorized local agencies for suitable treatment and disposal. The company encourages reuse and recycling to reduce waste generation.

VPCL's products are industrial-grade Intermediates and APIs used in downstream formulations and are not directly sold in consumer packaging, hence EPR obligations are not applicable under current regulatory definitions.

However, VPCL voluntarily aligns with the principles of responsible waste management through product stewardship initiatives such as supplier take-back schemes and environmentally sound disposal practices.





h. Continuous Improvement and Future Outlook

VPCL is advancing toward data-driven environmental governance by enhancing its internal digital tracking systems, establishing KPIs for waste intensity and water reuse, and increasing engagement with third-party verification agencies.

The company's near-term focus includes:



Strengthening waste data management and third-party assurance.



Expanding solvent recovery capacity and recycling partnerships.



Enhancing effluent reuse for non-potable purposes such as utilities and landscaping.



Continuing VOC reduction through Leak Detection and Repair (LDAR) programs.

Through these actions, VPCL reinforces its commitment to responsible waste management, pollution control, and environmental stewardship, contributing to UN SDG 6 (Clean Water and Sanitation) and SDG 12 (Responsible Consumption and Production).

BIODIVERSITY STEWARDSHIP: SAFEGUARDING NATURAL ECOSYSTEMS FOR FUTURE GENERATIONS

Biodiversity forms the foundation of ecological stability and human well-being. As a responsible pharmaceutical manufacturer with operations across Telangana and Andhra Pradesh, VPCL recognizes its responsibility to minimize environmental impacts,

protect natural habitats, and foster ecological resilience around all our facilities.

During FY 2024-25, our biodiversity management approach continued to be guided by the GRI Biodiversity Standards, emphasizing:



Identification of biodiversity-sensitive locations



Assessment of dependencies and potential impacts



Implementation of mitigation and conservation initiatives



Monitoring of ecological indicators around all operational units

Our commitment is to ensure that industrial operations coexist harmoniously with nature while contributing to the long-term preservation of ecosystems that surround our facilities.

BIODIVERSITY RISK CLASSIFICATION AND KEY ACTIONS

Facilities in Dense Industrial Zones

(Unit I – Jeedimetla, Hyderabad)

These locations operate within fully developed industrial estates with limited natural habitats.

Key measures include:



Full compliance with effluent treatment, air emission, and waste management norms to prevent off-site environmental impacts



Routine monitoring of treated effluents, air emissions, and solid waste handling



Adoption of waste minimisation, rainwater harvesting, and green-belt maintenance within facility premises



Biodiversity awareness initiatives for employees to encourage environmentally responsible practices

Facilities within Industrial Townships with Green Belts

(Units II, III and IV, R&D – Jawaharlal Nehru Pharma City)

These units are situated within planned industrial townships that include green-belt corridors and shared environmental infrastructure.

Key measures include:



Continuous air and water quality monitoring to maintain environmental baseline conditions



Stormwater management systems to prevent runoff into surrounding green belts and community areas



Participation in JNPC-wide environmental protection and biodiversity management initiatives



Monitoring of local ecological indicators, including vegetation cover and nearby waterbodies



Facilities in Proximity to Ecologically Sensitive Areas (Unit V – Atchutapuram)

These locations operate within the influence zone of freshwater ecosystems, natural vegetation patches, and agricultural landscapes.

Key measures include:



Regular assessment of potential operational impacts on nearby ecological receptors



Strengthened wastewater treatment, emission controls, and stormwater discharge management



Controlled land use and waste handling to prevent habitat disturbance



Ongoing monitoring to ensure operations remain neutral to surrounding biodiversity values

The FY 2024–25 achievements reflect both our ambition and resolve to elevate environmental performance beyond regulatory compliance. As we progress, priority will be given to scaling decarbonization, expanding reuse cycles, and embedding biodiversity thinking into every decision.

For the upcoming year, our strategic imperatives include:



Closing data gaps via digitization and supplier transparency



Strengthening nature-based solutions and biodiversity partnerships



Accelerating renewable energy and energy storage deployments



Integrating environmental metrics into business KPIs and capital investment decisions



Establishing circular system pilots across more process units

By continuously pushing boundaries, we aspire not only to heal the planet but to lead by example: science-driven, environmentally accountable, and socially responsive.

TOGETHER FOR A SUSTAINABLE FUTURE

COMMITMENT TO RESPONSIBLE AND RESILIENT GROWTH



Rolled out process-level energy optimisation across key manufacturing units, improving thermal and electrical efficiency in API/intermediate production lines.



Strengthened water stewardship through enhanced monitoring, process optimisation, and reduction of freshwater dependency in utility and manufacturing operations.



Improved resource efficiency by optimising solvent use, enhancing material recovery, and reducing process losses across production cycles.



Upgraded waste-handling and treatment systems, ensuring higher process control, regulatory compliance, and minimised environmental impact from operations.

Integrated sustainability metrics into operational planning, supporting long-term resilience, cost efficiency, and responsible manufacturing practices





PEOPLE — EMPOWERING OUR WORKFORCE AND COMMUNITIES

Social & Human Capital — People at the Heart of Our Growth

At VPCL, our people represent the most enduring source of value, resilience, and innovation. As we expand our global footprint, we remain firmly committed to nurturing a workplace built on trust, dignity, meritocracy, and collective purpose. Our growth is enabled by the passion of our employees, the scientific rigor they uphold, and the values they embody each day.

FY 2024–25 marked another year of deepening our investment in human capital — through capability-building, welfare programs, stringent safety standards, and enhanced systems that place well-being and inclusion at the centre of our culture. We firmly believe that when people thrive, the business thrives — today, and sustainably into the future.

WORKFORCE PROFILE: DIVERSITY, INCLUSION & EQUITABLE OPPORTUNITY

Our workforce continues to be driven by young scientific talent and operational excellence, with 472 new hires in FY 2024–25, predominantly in early-career roles, reinforcing our commitment to developing future industry leaders. While our workforce composition currently reflects the industrial and geography-specific demographic trends of our sector, we acknowledge the need to continue building gender and leadership diversity.

year, 377 employees exited the organisation, translating to a turnover rate of 10%, reflecting stability in core talent segments.

We recognise diversity as a strategic priority and are actively strengthening initiatives that support gender balance, representation of persons with disabilities, and inclusive workplace systems. Employment support for differently abled individuals continued during the year, reflecting our belief in a workforce that is inclusive and accessible. We have our corporate office man power as 148 where all are permanent employees.

We remain committed to advancing equitable access to employment, ensuring fair treatment, and maintaining an environment where every individual is valued. During the

Workforce Profile



3,766 employees
Total workforce



2097
Permanent employees



1,699
Contractual/temporary workforce



127
Female Employees



**Out of 12 board members,
2 are women**
Women in Board



3.02%
Women in total workforce



Hiring & Turnover



472 new hires
across operations



~10.01%
Staff Attrition Rate

Training & Capability Building



59,425.35 hours
Total training hours
delivered



~14.59 hours
Average training hours
per employee



100%
of employees receiving
performance reviews

Health & Safety Performance



Zero workplace
injuries reported



Zero fatalities and zero
high consequences work
related injuries during
the reporting year



Unit 1,2, 3 &5 covered
under ISO 45001 OHS
Management System



100% of workforce, including
controlled workers (All
employees and contractors
who are not permanent
employee.), covered under
OHS systems

Employee Rights & Grievances



All employees have
access to formal grievance
redressal mechanisms



No discrimination or
harassment cases
reported



100% security personnel trained
in human rights, safety, and
organisational policies

TOGETHER FOR A SUSTAINABLE FUTURE

EMPLOYEE HEALTH, SAFETY & WELL-BEING — SAFETY BY DESIGN, CARE BY CULTURE

Safety is non-negotiable at VPCL. We operate with a deeply embedded safety culture supported by a comprehensive Occupational Health & Safety Management System aligned with ISO 45001 and ISO 14001.

This year, we are proud to have recorded zero workplace injuries, zero fatalities, and zero lost-time incidents — a testament to the discipline, vigilance,

and continuous improvement mindset across all manufacturing operations.

The VPCL's Occupational Health and Safety (OHS) management system covers 100% of employees and non-employee workers, including contractors, consultants, temporary workers, and visitors, ensuring comprehensive protection across all operational activities."

Our OHS approach encompasses:



Hazard elimination and
engineering controls



Advanced PPE protocols and
administrative controls



Behaviour-based safety culture



Emergency preparedness and
response drills



100% coverage of workers under
health and safety systems



Continuous health surveillance and
periodic medical assessments





We empower every employee with the right to refuse unsafe work, backed by transparent reporting channels and zero-retaliation assurance.

Our belief in well-being extends beyond compliance — from preventive health checks and wellness workshops to mental health awareness and medical cover that supports employees and their families. All on-roll employees are covered under medical and accident insurance programs, with extended benefits offered to contract staff wherever feasible.

During the reporting period, there were zero work-related fatalities and zero high-consequence work-

related injuries among employees and contractual workforce. There were also zero lost-time injuries (LTI) recorded.

Further, no cases of work-related ill health were reported. There were no fatalities resulting from work-related ill health and no high-consequence cases of work-related ill health during the reporting period.

The Company continues to maintain preventive safety controls and monitoring mechanisms to ensure a safe and healthy working environment for all employees and contractual workers.

OCCUPATIONAL HEALTH SERVICES

Vasudha Pharma Chem Limited provides occupational health services to both full-time employees and contractual workforce across its operations. Health and safety services include access to on-site medical support, first-aid facilities, incident response mechanisms, and periodic health surveillance.

Regular annual health check-ups are conducted for employees. In addition, employees working in identified hazardous areas undergo specialized

medical examinations once every six months to monitor occupational exposure and ensure fitness for work.

To support employee well-being in hazardous work environments, the Company also provides nutritional supplements such as cucumber, carrot, banana, and jaggery during working hours. These measures form part of the organization's preventive health and safety approach.

Incident Reporting and Hazardous Situation Management

METHODOLOGY FOR INCIDENT REPORTING

VPCL has established a documented procedure (EOHSP-12) to ensure systematic reporting, investigation, and resolution of workplace incidents and hazardous situations. The procedure covers reporting of unsafe acts, unsafe conditions, near-miss incidents, accidents, and hazardous occurrences.

All incidents and near misses are required to be reported promptly to the Management Representative (MR) or Management Appointee (MA). Immediate mitigation measures are implemented to prevent escalation of risk and ensure worker safety. A structured investigation process is then initiated to determine the root cause of the incident.

Root cause analysis is conducted using appropriate investigation techniques, and suitable Corrective Action and Preventive Actions (CAPA) are identified and implemented. The effectiveness of these actions is verified before closure of the incident. All records related to incident reporting, investigation findings, corrective actions, and verification are maintained for audit and compliance purposes.

Incident trends and significant findings are periodically reviewed during Internal Audits and Management Review Meetings to ensure continuous improvement in Occupational Health and Safety performance.

INCIDENT INVESTIGATION AND CORRECTIVE ACTION MANAGEMENT

The organization follows a structured incident investigation process to ensure timely response and prevention of recurrence. In the event of any injury or hazardous incident, the affected employee is immediately removed from the hazardous area and, where required, reassigned to suitable non-hazardous duties.

A cross-functional Incident Investigation Committee comprising six members—including representatives from Engineering, Production, Electrical, Safety, and other relevant functions—conducts an on-site assessment. Root cause analysis is carried out using structured methodologies such as 5A Analysis. Corrective Action and Preventive Actions (CAPA) are identified, implemented, and submitted for management approval. Investigation findings and learnings are internally communicated to strengthen controls and enhance overall Occupational Health and Safety performance.





Vasudha Pharma Chem Ltd. follows a defined process for reporting, investigating, and managing incidents, accidents, and near-miss events across all units. Incidents are promptly addressed, formally reported within stipulated timelines, and escalated to relevant departments to ensure coordinated response and worker safety.

PROTECTION OF WORKERS IN HAZARDOUS SITUATIONS

The organization adopts a proactive approach to worker safety through Hazard Identification and Risk Assessment (HIRA) and implementation of operational controls. A Work Permit System is enforced for high-risk activities such as confined space entry, hot work, and electrical work.

Appropriate PPE is provided and mandatory usage is ensured. Emergency preparedness measures include quarterly mock drills, fire protection systems, gas detection systems, and a trained emergency response team. In case of emergencies, employees

Root-cause analysis is conducted by a trained team using structured methodologies, and Corrective Action and Preventive Actions (CAPA) are implemented and tracked for effectiveness. Significant incidents are reported to regulatory authorities as required, supporting compliance, transparency, and continuous improvement in Occupational Health and Safety performance.

are evacuated as per the established emergency response plan and external authorities are informed when required.

Annual medical examinations are conducted for employees, with health monitoring based on exposure risk. Employees found medically unfit for hazardous work are reassigned to suitable roles wherever feasible. Preventive health measures are implemented to minimize occupational illness and injury.

HAZARD IDENTIFICATION AND RISK ASSESSMENT (HIRA)

VPCL conducts comprehensive Hazard Identification and Risk Assessment (HIRA) across all operational activities to systematically identify, evaluate, and mitigate Occupational Health and Safety risks, including emergency and legally significant operations.

The assessment identified high-risk activities primarily associated with nitrogen inertization (oxygen deficiency), hydrogen handling and hydrogenation processes, static electricity during solvent charging, exothermic reactions, reactive chemical handling, confined space entry, centrifuge operations, and dust explosion hazards in milling and micronization processes.

To address these risks, the organization strengthened engineering and administrative controls, including installation of gas detection systems, enhanced earthing and bonding with continuous monitoring, explosion protection systems (Rupture Discs and PRVs), equipment interlocks, confined space work permit systems, ventilation and scrubber systems, mandatory PPE usage, SOP-based operational controls, and periodic emergency mock drills.

Following implementation of these measures, risk levels were reduced to acceptable thresholds, with critical process areas remaining under continuous monitoring. The HIRA framework is periodically reviewed by management to ensure legal compliance, effective risk mitigation, and continual improvement in Occupational Health and Safety performance.

The major OHS risks at the organization include chemical exposure hazards arising from handling hazardous materials, carcinogens, and detoxification processes, fire and explosion risks

TOGETHER FOR A SUSTAINABLE FUTURE



linked to hot work, solvent use, static electricity and operating reactors, dryers, and centrifuges, toxic gas and inhalation risks from nitrogen inerting and accidental gas release, confined space and asphyxiation risks during vessel or tank entry, mechanical and equipment related risks from lifting tools, welding, and rotating machinery, as well as physical risks such as noise and heat stress and environmental risks related to hazardous waste, spill management, and effluent segregation; these risks are effectively managed through a structured EHS training calendar that covers hazardous material handling, work permit systems, operational safety, PPE and respiratory protection, confined space entry, emergency response and multiple mock drills, waste segregation, water conservation, spill control and regulatory compliance, along with POSH awareness sessions to address psychosocial safety risks, ensuring a comprehensive and proactive control framework.





PREVENTION AND MITIGATION OF OCCUPATIONAL HEALTH & SAFETY IMPACTS IN THE VALUE CHAIN

Vasudha Pharma Chem Limited maintains a robust Occupational Health and Safety (OHS) governance framework that extends beyond our own operations into our upstream value chain. Supplier relationships are systematically evaluated for potential OHS risks through a structured Vendor Qualification System that integrates EHS due diligence, compliance documentation, site audits, and continuous performance monitoring. These mechanisms ensure that suppliers handling Advanced Intermediates, Key Starting Materials, and Key Materials uphold the same safety standards that govern Vasudha's internal operations.

As part of this due diligence process, suppliers are required to submit a comprehensive Environment, Health and Safety (EHS) Questionnaire that details statutory compliance, PPE availability, emergency preparedness, safe work systems, waste management controls, and training practices. Suppliers also undergo targeted hazard specific assessments through Elemental Impurity and Nitrosamine Risk Questionnaires, ensuring early identification of chemical related risks, contamination pathways, and cross exposure concerns.

A risk based audit program conducted onsite, virtually, or through desktop review verifies real world adherence to OHS controls, including personnel hygiene, medical examinations, work permit systems, fire fighting

infrastructure, waste disposal practices, and containment arrangements. Audit findings are classified as critical, major, or minor and managed through a time bound Corrective Action and Preventive Action (CAPA) system, with non compliances triggering re evaluation or immediate disqualification from the Approved Vendor List. Supplier responsibilities are also formalized through a Quality Agreement, establishing contractual obligations around safe operations, emergency response, trained personnel, data integrity, and regulatory compliance.

Collectively, these mechanisms ensure supplier operations do not create unacceptable OHS risks for their workers, Vasudha employees, or downstream customers. This integrated system strengthens supply chain resilience while supporting our broader sustainability commitments.

Risk management is driven through structured processes including HIRA, HAZOP, safe work procedures, operational controls, emergency preparedness, and contractor safety management. OHS performance is monitored through audits, compliance reviews, safety meetings, and management oversight, with incident investigations and corrective actions supporting continual improvement.

TOGETHER FOR A SUSTAINABLE FUTURE

POLICY COMMITMENT

In line with its Environmental, Occupational Health and Safety (EOHS) Policy, VPCL is committed to the prevention of injury and ill health across all operations. The organization ensures compliance with applicable legal and statutory requirements and promotes active consultation and participation of workers in Occupational Health and Safety matters.

The company strives for continuous improvement in its OH&S management systems and performance. Providing safe and healthy working conditions for all employees and contractual workforce remains a core organizational priority.

GOVERNANCE & LEADERSHIP COMMITMENT TO HEALTH, SAFETY, AND WELL BEING

Vasudha Pharma Chem Limited demonstrates a strong governance structure supporting employee safety, regulatory compliance, and continuous improvement. The EHS Committee Meeting SOP establishes a formal mechanism to ensure worker-management collaboration on key Environmental, Health, and Safety priorities, including audits, risk assessments, incident reviews, and statutory compliance requirements. The committee includes equal representation of workers and management, meets once every three months, and

ensures closure of previous action items—reflecting a disciplined governance approach aligned with ESG expectations.

The company also reinforces ethical governance through formal HR policy trainings and POSH awareness programs conducted throughout the year to ensure every employee understands the organization's standards on ethics, conduct, and respectful workplace behaviour.





EMPLOYEE BENEFITS OFFERED TO ON-ROLL AND CONTRACTUAL WORKERS

VPCL provides a comprehensive suite of employee benefits designed to support the welfare, safety, and professional growth of its workforce. The following benefits are uniformly implemented across all operational units, with several key benefits extended to both on-roll and contractual workforce:

Benefits Offered



Higher Education Support Scheme – Facilitating continuous learning and skill enhancement for employees.



Medical Insurance – Coverage provided for the employee, spouse, and up to two children.



Group Personal Accident Policy – Ensuring financial protection for employees in case of accidental injuries.



Employment Opportunities for Persons with Disabilities – VPCL actively hires and integrates individuals with disabilities across QA, Production, and other departments.



Maternity Leave Benefits – Compliant with statutory requirements, supporting women employees during maternity.



Gratuity Benefits – Provided as per the Payment of Gratuity Act.



Post-Retirement Employment Opportunities – Retired employees with relevant expertise are considered for suitable roles, ensuring continuity of institutional knowledge.



Provident Fund (PF) – Contribution made in accordance with statutory norms.



Bonus – Annual bonus provided to eligible employees.

ADDITIONAL BENEFITS PROVIDED TO CONTRACTUAL WORKFORCE

VPCL extends various welfare and wellbeing benefits to its contractual workforce (including security personnel, housekeeping staff, loaders and other support staff), demonstrating its commitment to inclusive and responsible employment practices:



Insurance coverage provided to contractual workers, including incident/accident coverage



Annual medical check-ups to monitor and support employee health



Free food facilities at the workplace



Transportation (bus) facilities for ease of commute



One-month salary provided as bonus to contractor employees



Access to health and wellness initiatives, including yoga sessions



Participation in training and skill development programs



Inclusion in award, reward and recognition programs through suggestion schemes



Engagement initiatives to promote inclusion and workplace integration

EMPLOYEE WELFARE, BENEFITS AND ENGAGEMENT

The Company provides various employee welfare facilities across its operations, including Subsidised food for all worker and corporate office employees, free transportation (bus) facilities, performance-based bonus, health insurance coverage, and annual medical check-ups. Employees are also provided with capacity-building and including meditation time during general shift, including technical trainings, safety trainings, and wellness initiatives such as yoga sessions. Contractual workforce are extended applicable statutory

benefits and welfare support in line with regulatory requirements.

The Company recognizes the importance of equitable

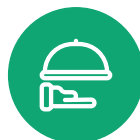




In addition to applicable statutory benefits, all employees are provided with:



Insurance coverage, including incident coverage



Free food facilities



Free transportation



One month salary as a bonus

These measures reflect the Company's commitment to inclusive welfare practices and responsible employment standards across all categories of workers.

EMPLOYEE ENGAGEMENT, AWARDS AND RECOGNITION

The Company promotes a culture of continuous improvement through an Employee Suggestion Scheme. Suggestions are invited from employees across all levels, from senior management to shop-floor personnel. The Employee Suggestion Team reviews submissions,

and selected suggestions are recognized and rewarded based on merit and impact. Contractual workers are also eligible to participate and receive recognition under this program.

BENEFITS APPLICABLE TO BOTH ON-ROLL AND CONTRACTUAL WORKFORCE

The following benefits (marked * in the original submissions) apply to both categories:



*Higher Education Scheme



*Medical Insurance



*Group Personal Accident Policy



*Maternity Leave



*Gratuity Benefit



*Provident Fund



*Bonus

VPCL's benefits framework demonstrates the organization's commitment to employee well-being, inclusivity, and a supportive workplace environment.

Extending several core benefits to contractual workers reflects VPCL's equitable and responsible employment practices across all units.

VPCL upholds inclusive and supportive parental leave practices across all its operational units. During the reporting period:



All employees across the organisation were eligible for parental or maternity leave/ benefits.



Some employees availed the leave during the reporting period.



Those who availed the leave returned to work, reflecting a positive return-to-work culture.



VPCL demonstrated a 100% retention rate for all employees (male and female) who returned to work after parental leave, indicating a highly supportive and enabling work environment.

Although parental leave utilisation is relatively low—primarily due to the workforce composition and nature of roles—VPCL continues to strengthen its family-supportive policies, especially maternity benefits and reintegration support for women employees returning from leave.

PARENTAL LEAVE

During the reporting period, 32 female employees availed maternity leave (24 weeks / 6 months) and 1205 male employees availed paternity leave.

In line with statutory requirements, maternity leave of 26 weeks is provided to eligible female employees. Paternity leave is granted to eligible male employees, and extensions may be considered based on individual requirements and management approval.

Return to Work after Parental Leave

During the reporting period, 2 female employees and 4 male employees returned to the workforce following the completion of maternity and paternity leave, respectively.

The Company remains committed to supporting employees in balancing professional and personal responsibilities through structured parental leave provisions.





TRAINING, LEARNING & CAREER DEVELOPMENT — BUILDING FUTURE-READY TALENT

Investing in knowledge, skill development, and leadership capability is integral to our long-term competitiveness.

Our learning ecosystem includes:



Technical & cGMP (current good manufacturing practices) training



Safety and operational excellence programs



Policy and governance training



Behavioural and leadership development



SA-8000 and regulatory standards awareness



On-the-job mentorship and skill-rotation frameworks

Performance and development reviews were conducted across employee groups, with structured feedback, growth pathways, and succession-planning support. In addition, we continued our Higher Education Support Program, empowering employees to pursue professional qualifications relevant to their career aspirations. We remain committed to creating career mobility, scientific capability pipelines, and structured leadership readiness programs, ensuring that VPCL continues to grow talent from within.

Health and Safety Training & Capacity Building

Vasudha's demonstrates a comprehensive, proactive approach to employee capability-building in occupational health, industrial safety, and environmental protection. Monthly training modules include:



Behavioral Based Safety (BBS)



Work Permit Systems



Accident Prevention



First Aid & Emergency Response



Chemical Handling & Detoxification



PPE & Respiratory Protection



Fire Drills & Toxic Gas Release Drills



Confined Space Entry



Waste Segregation & Water Conservation



Statutory Compliances under Factories Act



HAZOP, HARA, and Process Safety Management



These programs combine classroom sessions, on the job coaching, mock drills, and specialized technical sessions, designed for all employees and critical operational teams such as Production, Engineering, QC, RMS, and Emergency Response groups.

This structured training calendar reflects strong alignment to ISO 45001, ISO 14001, and broader ESG frameworks emphasizing preventive safety culture and workforce competency.



OCCUPATIONAL HEALTH & SAFETY TRAINING SUMMARY

OHS TRAINING PERFORMANCE

During the reporting period, the organisation continued strengthening its safety culture through structured Occupational Health and Safety (OHS) training programmes across all units. A total of 691 training programmes were conducted, covering critical topics such as hazard identification, emergency preparedness, safe work practices, ergonomics, first aid, and occupational health risk prevention.

Collectively, employees received 59,425.35 training hours, reflecting our commitment to embedding safety awareness and preventive health practices across the workforce. Units that reported detailed breakdowns accounted for 36,095.9 hours of safety-related training and 9,860.46 hours of occupational health training. Units 1 and 2 reported consolidated training hours; however, the organisation plans to further standardise reporting formats for granular categorisation going forward.

Key Highlights



Strengthened organisation-wide OHS capability through 691 trainings.



Delivered 59,425.35 cumulative training hours, demonstrating strong employee coverage.



Introduced a higher proportion of formalised OHC sessions across operating units.



Plans to enhance standardised reporting to ensure full Safety vs. OHC split in subsequent years.

COVERAGE OF EMPLOYEES AND CONTROLLED WORKERS UNDER OHS MANAGEMENT SYSTEM

The company maintains a comprehensive OHS Management System covering nearly all employees and controlled workers across all units. During the year, both internal and external audits were completed, with all certified units achieving 100% coverage and compliance under the OHS framework.

Unit	Total Employees / Controlled Workers Covered by OHS System	% Coverage	Covered by Internal Audit (%/Nos.)	Covered by External Audit (%/Nos.)
Unit I	427 employees	100%	427(100%)	427(100%)
Unit II	990 employees	100%	990 (100%)	990 (100%)
Unit III	661 employees	100%	661 (100%)	661 (100%)
Unit IV	347 employees	100%	347 (100%)	347 (100%)
Unit V	1,072 employees	100%	1,072 (100%)	1,072 (100%)
R&D Unit	121 employees	100%	121 (100%)	121 (100%)
Total	3,618 workers/employees	100%	3,618 (100%) *	3,618 (100%) *

PROGRAMS FOR EMPLOYEE SKILL ENHANCEMENT

Across all units, the organisation implements a comprehensive set of training and development programs aimed at upgrading employee skills, enhancing productivity, and promoting overall wellbeing. These initiatives cover technical, behavioural, safety, compliance, and wellbeing aspects, ensuring a holistic approach to capability-building.

CONSOLIDATED SUMMARY

The following programs are consistently implemented across all units:



cGMP(current good manufacturing practices) training



Safety sessions, including hazard awareness and risk management



Mock drills (fire, emergency response, evacuation)



Policy and compliance trainings (HR policies, code of conduct, SA8000 where applicable)



Soft skills and behavioural trainings



Awareness programs (environment, quality, ethics, hygiene)



Physical and mental wellbeing sessions



On-the-job technical trainings to support role-specific capability development



SA8000 Standard awareness trainings (Units that reported)

These programs ensure continuous upskilling, alignment with regulatory expectations, and preparedness for operational and safety requirements.

EXTERNAL TRAINING PROGRAMS

During the reporting period, employees across functions participated in external training programs conducted by certified third-party experts to strengthen technical competency and safety awareness. Key programs included Risk Assessment and Control Strategies (attended by Production, Engineering, EHS, and HR teams), First Aid, Emergency Evacuation Management training, Firefighting and Fire Prevention (Production and Engineering teams),

Respiratory Protection and Spill Control Management (Production team), SCBA Training (Production, EHS, and QC teams), and Static Electricity Management (Production and EHS teams).

These trainings enhanced operational safety, emergency preparedness, and regulatory compliance across units.



CAREER DEVELOPMENT PLAN (CDP)

Vasudha Pharma Chem Limited has implemented a structured Career Development Plan (CDP) to ensure transparent career progression and talent development across Scientific, Technical, and other functions. The policy applies to for freshers from trainee level to Executive level standardizes role progression based on qualification, experience, performance, and competency.

Promotions and career advancement are linked to defined service criteria, performance ratings, and capability assessment. The CDP is integrated with training, higher education support, and succession planning to strengthen long-term employee development and organizational capability.

Mandatory trainings on ethics, anti-corruption, anti-bribery, and related compliance topics are delivered through the People Strong LMS portal. Modules include video-based learning and assessments to ensure understanding, with automated reminders issued for pending completions.

Classroom sessions are conducted where necessary to reinforce key governance and compliance principles across the organization.

TRANSITION ASSISTANCE PROGRAMS FOR RETIREMENT OR EMPLOYMENT SEPARATION

The organisation provides structured support to employees during career transitions, ensuring smooth offboarding and continued financial stability. We have a Superannuation/retirement policy that provides guidelines for engaging superannuated or retired

employees as consultants based on organizational requirements. Such appointments are made on defined terms and conditions to leverage their experience and expertise for specific assignments or advisory roles.

Consolidated Summary

Transition assistance programs include:

- Farewell recognition for retiring or separating employees
- Full & Final Settlements, including:
 - » Bonus
 - » Ex-gratia
 - » Leave encashment
 - » Gratuity
- Support for Provident Fund (PF) settlement and PF Pension processing
- Guidance on statutory benefits to ensure seamless post-employment transition

These measures contribute to fair labour practices and responsible employee lifecycle management.

TOGETHER FOR A SUSTAINABLE FUTURE

Security Practices

Security personnel include both in-house and outsourced staff across units. All operations across the organization collectively employ a mix of male and female guards, with totals of 130. All units report complete coverage i.e., 100% of human-rights policy training during the period.

Training modules for security staff typically include:



HR Policies



Safety training



Entry/Exit protocols



Organizational conduct guidelines

EMPLOYEE RELATIONS & ENGAGEMENT — VOICE, RESPECT & SHARED GROWTH

Our employee relations approach is anchored in transparency, open communication, and mutual respect. We maintain active committees — including Works Committee, POSH Committee, and Grievance Redressal Committee — ensuring structured platforms for dialogue and feedback.

Employees are notified of major organisational changes in accordance with statutory requirements and industry standards, enabling them to prepare

and adapt effectively. We believe that meaningful engagement builds trust and strengthens organisational culture, and we continue to institutionalise employee listening mechanisms across the organisation.

This year, no grievances or harassment cases were reported, reflecting both strong governance structures and an environment of dignity and trust.

COMMUNITY DEVELOPMENT & SOCIAL IMPACT — EXTENDING OUR PURPOSE BEYOND OPERATIONS

VPCL remains committed to supporting social upliftment in the communities we operate in. Our CSR philosophy prioritises equitable access to education, healthcare, livelihood enablement, and support to vulnerable groups.

Through partnerships with credible NGOs, educational institutions, and local authorities, we continued to implement initiatives that strengthen

community welfare, especially in underserved regions. We approach CSR as a long-term commitment, with structured planning, transparent execution, and monitoring mechanisms to ensure impact and accountability. VPCL active engagement with local communities, including needs assessment, community development programs, and stakeholder interaction. Engagement activities are undertaken both at unit level and through the Head Office.



CORPORATE CITIZENSHIP & COMMUNITY COMMITMENT

Vasudha views corporate citizenship as a responsibility to contribute meaningfully to the communities around us. Our CSR programmes prioritise inclusive development and support underprivileged groups through education, healthcare, skill empowerment, senior care, environmental initiatives, and cultural preservation.

Our approach emphasizes dignity, access, and long-term impact — ensuring that our initiatives not only

provide immediate benefit but also strengthen community resilience. Partnerships with credible implementation agencies, transparent fund utilisation, and structured monitoring mechanisms ensure accountability and outcome-driven execution. As we scale operations, we remain committed to expanding our social footprint and enhancing the reach of our programmes.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Our CSR vision is rooted in nation-building and community upliftment. We go beyond statutory commitments, supporting inclusive growth, dignity, and equitable opportunity.

VPCL’s CSR strategy focuses on:



Education & Skill Development



Healthcare & Medical Assistance



Elder Care & Disability Support



Disaster Relief & Community Welfare



Environmental Sustainability



Cultural Heritage, Arts & Sports



Veteran & Dependent Welfare



TOGETHER FOR A SUSTAINABLE FUTURE

Key CSR Themes & Programs

Focus Area	Programme	Description	Status
Education	Akshara	Scholarships for underprivileged youth	✓
Healthcare	Aarogya	Medical assistance for economically weaker patients	✓
Elder Care & Disability	Aashraya & Aadarana	Senior citizen support & rehabilitation assistance	✓
Disaster Relief	Akshaya	Emergency and disaster response support	✓
Environment	Aparigraha	Green initiatives, animal welfare, conservation	✓
Culture & Sports	Samskruti	Cultural preservation, rural sports, handicrafts	✓

LOOKING AHEAD — ADVANCING PEOPLE-FIRST GROWTH

As we scale into new geographies and capabilities, our focus is clear — to build a resilient, ethical, future-ready workforce. We are accelerating efforts in:



Gender diversity hiring and leadership pathways



Structured inclusion and accessibility programs



Advanced digital and technical learning tracks



Wellness, mental health, and work-life enablement programs



Strengthened human rights supply-chain oversight



Social impact measurement and community partnerships

Our commitment is simple and steadfast — to build a workplace where talent thrives, safety is absolute, dignity is universal, and every individual feels empowered to contribute to a healthier world.



PORTFOLIO — INNOVATING FOR GLOBAL WELL-BEING



TOGETHER FOR A SUSTAINABLE FUTURE

Innovation, R&D & Sustainable Products

Innovation is central to VPCL's competitive advantage and sustainability ambitions. Our DSIR-approved R&D centre in Visakhapatnam (11,000 sq. ft.) drives:



Green chemistry & safer synthesis pathways



High-potency APIs & niche molecules



Novel polymorph development



Analytical method innovation

R&D STRENGTH



~150 scientific professionals



Focus on oncology, cardiometabolic, CNS, nutraceuticals, and Organ therapies



Expertise in late-stage development, custom synthesis & scale-up

INNOVATION & GREEN CHEMISTRY

Innovation at Vasudha goes beyond molecule development — it is about creating sustainable, scalable, and efficient solutions for the global healthcare ecosystem. Our DSIR-approved R&D centre, equipped with advanced analytical platforms and process-

research capabilities, drives the design of safe, efficient, and economically viable manufacturing routes.

We are exploring and scaling green chemistry approaches — including solvent recovery programs,



milder reaction conditions, yield optimisation, catalytic pathways, and waste-load reduction — not only to improve operational efficiency but also to minimise environmental impact. Our scientific team remains focused on niche APIs, complex intermediates, high-potency segments, and reflecting our commitment to advancing human health in critical therapeutic areas.

VPCL's R&D and CAPEX priorities continue to emphasize cleaner production, safety enhancement, and process sustainability. The company's innovation strategy integrates green chemistry, energy efficiency, and pollution control technologies to minimize lifecycle environmental impacts. Several projects in FY 2024–25 was dedicated to reducing carbon intensity and solvent waste across production lines.

PRODUCT QUALITY, SAFETY & ACCESS

Quality is non-negotiable in pharmaceutical manufacturing. VPCL ensures stringent compliance across every production stage — from route development to scale-up and packaging.

We operate with a robust Quality Management System (QMS) covering:



GMP-aligned manufacturing at all units



Vendor qualification and raw material control



In-process quality checks and validated systems



Stability testing and batch traceability



Deviations, CAPA, and audit management

Our backward-integration model strengthens quality security and ensures reliable supply at competitive cost.

PRODUCT QUALITY, REGULATORY EXCELLENCE & PATIENT SAFETY

In the pharmaceutical sector, quality is not merely a compliance metric — it is a commitment to patient well-being. At Vasudha, our Quality Management System is aligned with global Good Manufacturing Practices and regulatory expectations across major healthcare jurisdictions. Every batch we produce undergoes stringent multi-stage monitoring — from raw-material qualification and in-process checks to final testing and batch-record review.

Our internal systems include validated processes, controlled documentation, deviation and CAPA

mechanisms, stability studies, and batch traceability protocols. We proactively support regulatory filings for customers, including DMFs, CEP dossiers, and analytical data packages. With approvals and inspections from regulatory bodies across the US, Europe, Asia, and Latin America, we continue to strengthen our global compliance footprint. Our recall readiness framework, combined with structured customer complaint resolution systems, reinforces our commitment to product reliability and patient safety worldwide.

TOGETHER FOR A SUSTAINABLE FUTURE



PRODUCTIVITY — DRIVING OPERATIONAL EXCELLENCE



ADVANCING OPERATIONAL EXCELLENCE THROUGH INTELLIGENT RESOURCE MANAGEMENT

Vasudha Pharma is systematically embedding energy and resource efficiency into its manufacturing operations by transitioning from manual, reactive utility management to intelligent, data-driven and preventive systems. During the reporting period,

the Company prioritized optimization of high-energy utilities, minimization of process losses, and enhancement of asset reliability—resulting in measurable reductions in energy consumption, water use, and operational inefficiencies.

SMART AUTOMATION FOR UTILITY OPTIMIZATION

Across all manufacturing units, temperature-linked automation has been integrated into utility operations to ensure energy is consumed strictly on demand. By deploying automated control logic for cooling towers and HVAC systems, Vasudha Pharma has significantly curtailed avoidable equipment

runtime. These interventions have shifted utility operation from continuous running to need-based functioning, lowering electricity intensity while simultaneously extending equipment life and improving system stability.

ENGINEERING OPTIMIZATION AND RIGHT-SIZING OF EQUIPMENT

A focused assessment of actual load requirements enabled the Company to rationalize equipment sizing in critical systems such as air handling units. Replacing oversized motors with right-sized alternatives has reduced baseline power draw without

compromising performance, demonstrating Vasudha Pharma's commitment to engineering efficiency rather than capacity excess. This approach delivers sustained energy savings while strengthening cost competitiveness.



CIRCULAR WATER AND HEAT RECOVERY PRACTICES

Resource circularity has been strengthened through recovery and reuse of process condensate within boiler operations. By redirecting pre-heated condensate back into the system, Vasudha Pharma has reduced dependence on freshwater intake

and lowered thermal energy demand for steam generation. This closed-loop approach enhances boiler efficiency while contributing to both water stewardship and energy conservation objectives.



PREDICTIVE MAINTENANCE AND LOSS PREVENTION

The adoption of advanced diagnostic tools such as infrared thermography and ultrasonic leak detection has enabled early identification of hidden energy losses and system inefficiencies. These preventive maintenance practices reduce unplanned downtime,

mitigate safety risks, and prevent energy wastage caused by electrical resistance, compressed air leaks, and equipment degradation. Proactive fault detection has improved overall plant reliability and reduced long-term operational risks.



PROCESS STABILITY AND UTILITY INTENSITY REDUCTION

Targeted process modifications, particularly in temperature-controlled systems, have improved batch stability and reduced cycle times in select units. Enhanced control over operating conditions has minimized solvent losses, optimized material usage,

and lowered demand on steam and electrical utilities. These improvements reflect Vasudha Pharma's focus on process intelligence as a lever for sustainability performance.

STRENGTHENING ENERGY AND RESOURCE GOVERNANCE

Collectively, these initiatives demonstrate a transition towards integrated resource governance—where energy, water, and utilities are managed through automation, monitoring, and preventive interventions rather than corrective action. By embedding efficiency

at the design and operational level, Vasudha Pharma continues to reduce its environmental footprint while enhancing operational resilience and long-term sustainability performance.

TOGETHER FOR A SUSTAINABLE FUTURE





PARTNERS — COLLABORATING FOR SHARED PROGRESS



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Business Responsibility & Value Chain

RESPONSIBLE BY DESIGN

At Vasudha Pharma Chem Limited, responsibility is not an add-on to business — it is the foundation on which we operate. Our business model is built on scientific excellence, regulatory discipline, and ethical conduct, with patient safety and global healthcare access at its core. Every product we manufacture and every partnership we build echoes our belief that a sustainable pharmaceutical enterprise must deliver value not only to customers, but also to regulators,

healthcare ecosystems, the environment, and society at large.

Our value-chain governance approach integrates quality, sustainability, innovation, and ethics across every stage — from procurement and R&D to manufacturing, distribution, and customer delivery. This holistic perspective ensures that our growth remains responsible, resilient, and aligned with long-term stakeholder expectations.

RESPONSIBLE PROCUREMENT & SUPPLY CHAIN STEWARDSHIP

Our supply chain philosophy is grounded in reliability, compliance, and mutual accountability. We engage with suppliers who share our commitment to ethical labour practices, product quality, occupational safety, and environmental responsibility. Supplier qualification follows a structured risk-based framework that includes documentation checks, adherence to regulatory standards, and, where required, on-site assessments.

We maintain robust vendor governance systems, ensuring full traceability of materials used in our products and alignment with global pharmaceutical norms. Through periodic reviews, continuous communication, and performance monitoring, we foster long-term partnerships that uphold integrity across the value chain. As we scale, we are strengthening supplier ESG assessments, digital procurement controls, and logistics optimisation to build a transparent and agile supply ecosystem.

We collaborate with suppliers who share our commitment to ethical conduct, regulatory compliance, and environmental stewardship. Our procurement systems prioritize:



Globally
compliant raw-
material sourcing



Supplier
qualification and
periodic audits



Responsible
chemical handling
and logistics



Compliance with ethical
labour, safety, and
environmental standards



Key Highlights



Global supplier onboarding framework aligned with pharma quality norms



Risk-based supplier audits and traceability controls



Digital documentation and vendor compliance checks

CUSTOMER HEALTH & SAFETY / PHARMACOVIGILANCE

While VPCL supplies intermediates and APIs, patient safety remains our core priority. We ensure:



Rigorous impurity profiling and analytical validation



Regulatory data support (DMFs, CEP dossiers, SmPC inputs)



Batch traceability and recall preparedness



Responsible communication and safety documentation

Our customer-centric technical support model ensures seamless knowledge transfer, stability support, and continuous quality improvement.

The Organization has obtained ISO 14001, ISO 45001, and ISO 9001 certifications across its operational units. Units 1, 2, 3, 4 and 5 are certified under ISO 14001 (Environmental Management System), ISO 45001 (Occupational Health & Safety Management System), and ISO 9001 (Quality Management System).

The Occupational Health & Safety Management System (ISO 45001) is implemented across all manufacturing units, excluding the Unit 4 R&D facility. The Formulation Unit is certified under ISO 9001, while all other operational units hold integrated certifications. The R&D unit currently remains outside the scope of certification.

Where applicable, product and service health/safety assessments were undertaken; some units reported no assessment activities during the period.

CUSTOMER-CENTRIC SCIENTIFIC PARTNERSHIP

Our engagement with customers extends beyond product delivery — we see ourselves as scientific partners in their innovation and growth journey. Through technical consultations, analytical support, regulatory documentation, and on-time supply reliability, we build relationships based on trust, transparency, and shared success.

Our customer-centric operating model ensures that product lifecycle management is collaborative and responsive. A dedicated team engages with customers on change control, impurity profiling, stability data, and continuous improvement, enabling seamless technology transfer and accelerated commercialisation timelines. The credibility earned through reliability and scientific discipline remains a key driver of repeat partnerships and long-term client confidence.

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INFORMATION SECURITY & DATA PRIVACY

We recognize the responsibility of safeguarding proprietary scientific data, business information, and partner confidentiality. Our information-security program includes:



Controlled access protocols



Network security & system hardening



Employee cybersecurity training



Data encryption & secure research data storage



Compliance with relevant data privacy regulations

In a digital research and manufacturing environment, safeguarding data integrity is fundamental to our credibility and operational continuity. We follow stringent cybersecurity protocols, governed access controls, and information-security practices aligned with global pharma standards. Customer information is safeguarded through established data protection practices, including restricted access, secure IT systems, compliance with internal protocols, and adherence to corporate information security guidelines.

Our digital systems incorporate IT-security monitoring, role-based access, and regular data backup policies. Employee cybersecurity awareness programmes, compliance audits, and secure documentation systems form the backbone of our corporate data-protection culture. As we expand into newer markets and adopt digital-first R&D tools, strengthening cybersecurity maturity remains an organisational priority.

Commitment to Customer Excellence

Customers remain central to VPCL's purpose. We ensure:



Responsive partnership model



On-time delivery and business continuity preparedness



Technical and regulatory support



Ethical and transparent engagement

Custom Manufacturing & Contract Development

VPCL supports global partners with:



Custom route scouting



Technology transfer & process validation



DMF filing support



Commercial scale manufacturing



BRSR

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Sr.No.	Attribute	Parameter	Values	Page Number
1	Green-house gas (GHG)	Total Scope 1 emissions	43043 tCO ₂ e	106
		Total Scope 2 emissions	30565 tCO ₂ e	106
		GHG Emission Intensity (Scope 1 +2)	0.0000063 (tCO ₂ e/ revenue)	106
2	Water footprint	Total water consumption	210,668 KL	106
		Water consumption intensity	0.00001823 (m ³ / revenue)	106
		Water discharge by destination and levels of treatment	106,487 KL	106
3	Energy footprint*	Total energy consumed	144898 MWh/ 521634 GJ	106
		% of energy consumed from renewable sources	2.62%	106
		Energy intensity	0.0000452 (GJ/Revenue)	106
4	Embracing circularity – details related to waste management by the entity	Plastic waste (A)	130.809 ton	106
		E-waste (B)	2.85 ton	106
		Bio-medical waste (C)	4.38 ton	106
		Construction and demolition waste (D)	-	
		Battery waste (E)	-	
		Radioactive waste (F)	-	
		Other Hazardous waste. Please specify, if any. (G)	7712.76 ton	106
		Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e., by materials relevant to the sector)	362.62 ton	106
		Total waste generated (A+B + C + D + E + F + G + H)	8,213.41 ton	106
		Waste intensity	0.00000071 tonnes / revenue	106
		Each category of waste generated, total waste recovered through recycling, re-using or other recovery operations	13,739.9 ton	106
		For each category of waste generated, total waste disposed by nature of disposal method	2771.14 ton	106

Sr.No.	Attribute	Parameter	Values	Page Number
5	Enhancing Employee Wellbeing and Safety	Spending on measures towards well-being of employees and workers – cost incurred as a % of total revenue of the company	1.67%	
		Details of safety related incidents for employees and workers (including contract-workforce e.g. workers in the company's construction sites)	zero workplace injuries, zero fatalities, and zero lost-time incidents	107
6	Enabling Gender Diversity in Business	Gross wages paid to females as % of wages paid	Permanent – 3.18%	107
		Complaints on POSH	Zero	107
7	Enabling Inclusive Development	Input material sourced directly from MSMEs/ small producers and from within India as % of total purchases	NA	
		Job creation in smaller towns – Wages paid to persons employed in smaller towns (permanent or non-permanent /on contract) as % of total wage cost	NA	
8	Fairness in Engaging with Customers and Suppliers	Instances involving loss / breach of data of customers as a percentage of total data breaches or cyber security events	Zero	107
		Number of days of accounts payable	NA	
9	Open-ness of business	Concentration of purchases & sales done with trading houses, dealers, and related parties Loans and advances & investments with related parties	NA	

• **Energy includes fossil fuel, electricity and renewable energy**

Remarks: Hazardous waste generated during operations includes spent carbon, process organic residue, used insulation wool, spent/mixed solvents, used oil, ETP sludge and other contaminated materials. Non-hazardous waste comprises plastic waste (HDPE containers, caps and liners), metal scrap (MS, SS, GI, aluminium, copper, electrical scrap), paper and fibre waste (cartons, paper, fibre drums), glass waste, wooden pallets and used gunny bags.



ESG Performance Summary

Key Performance Indicators (KPIs) Summary

Dimension	KPI	Unit	FY 2023-24	FY 2024-25	YoY Change
Environmental	Scope 1 GHG Emissions	tCO ₂ e	36179	43043	+18.97 %
	Scope 2 GHG Emissions	tCO ₂ e	29628	30565	+3.16 %
	Energy Consumption	MWh	170980	1,44,898.34	-15.25 %
	Renewable Energy Consumption	MWh	1329	3804.84	+190.22 %
	Renewable energy share	%	1.18%	2.62%	
	Water Intensity		0.00001883	0.00001823	-2.02%
Social	Water Recycled	ML	92.92	138.31	+48.85%
	Total Employees	Nos.	3430	3766	9.8%
	Diversity (Women in Workforce)	%	2.3%	3.02%	31.30%
Governance	Whistleblower Cases Resolved	Nos.	0	0	
	Compliance Audit Passed	Nos.	0	0	

GHG Emissions Summary (GRI 305-1, 305-2, 305-3)

Disclosure	Unit	FY 2023-24	FY 2024-25	% Change (FY25 vs FY24)
Scope 1 – Direct GHG Emissions	tCO ₂ e	36179	43043	+18.97 %
Scope 2 – Indirect (Purchased Electricity)	tCO ₂ e	29628	30565	+3.16 %
Total (Scope 1 + 2)	tCO ₂ e	65807	73608	+11.85 %
Scope 3 – Other Indirect Emissions	tCO ₂ e	27,362	42,288	+54.55 %
Total GHG Emissions (All Scopes)	tCO ₂ e	93169	1,15,896	+24.39 %
GHG Intensity (tCO ₂ e / ₹ crore revenue)	—	0.00000566	0.0000063	15.60%
Emission Factors Applied	—	IPCC AR6 / CEA India	IPCC AR6 / CEA India	—

Remarks: GHG emissions have been calculated in accordance with the **World Resources Institute / World Business Council for Sustainable Development GHG Protocol (Corporate Standard)** and aligned with **GRI 305** requirements. Scope 1 emissions are based on actual fuel consumption; Scope 2 emissions are calculated using the latest grid emission factor published by the **Central Electricity Authority (CEA)** (location-based method). Relevant emission factors and Global Warming Potential (GWP) values are sourced from the **Intergovernmental Panel on Climate Change (IPCC)** guidelines. Emissions are reported in tCO₂e.

Energy Consumption (GRI 302-1, 302-3)

Energy Source	Unit	FY 23-24	FY 24-25	% Change
Non-renewable fuels (Diesel, Furnace Oil)	MWh	128289	96,547.67	-24.74 %
	GJ	461,840	347,572	
Renewable energy (Solar, Green PPA, Biomass)	MWh	1329	3804	+682.72 %
	GJ	4784	13,697	
Purchased electricity (non-renewable)	MWh	41380	44545.82	+7.65 %
	GJ	148,968	160,365	
Total Energy Consumption (within organization)	MWh	170980	1,44,898.34	-15.25 %
	GJ	615,528	521,634	
Energy Intensity (GJ /Cr Revenue)	—	0.000053	0.0000452	-15.24 %
Renewable Share (%)	%	1.18%	2.626%	

Water Stewardship (GRI 303-3, 303-4, 303-5)

Disclosure	Unit	FY 23-24	FY 24-25	% Change
Water Withdrawal (Total)	KL	210,53	210,668	+0.07 %
Third Party water	KL	210,53	210,668	+0.07 %
Water Discharged (Total)	KL	98,22	106,487	+8.41 %
Water Consumption	KL	112,31	210,668	+87.58 %
Water Recycled / Reused	KL	-	-	
Water Intensity (m ³ / crore of revenue)	—	0.00001883	0.00001823	-2.02 %

Facilities	FY 23-24	FY24-25			% change in withdrawal
		Withdrawal	Withdrawal	Discharge	Consumed
Unit I	1,82,80,000	81,07,900	52,72,500	81,07,900	-55.65%
Unit II	6,23,22,000	6,82,53,000	3,10,82,000	6,82,53,000	9.52%
Unit III	5,18,60,000	5,36,63,000	2,94,96,060	5,36,63,000	3.48%
Unit IV	1,56,31,000	1,66,29,870	63,91,620	1,66,29,870	6.39%
Unit V	6,19,22,000	6,36,58,520	3,40,65,000	6,36,58,520	2.80%
R&D	5,09,000	3,56,000	1,80,000	3,56,000	-30.06%
Total	210,524	2106682	1064871	2106682	0.07%



Waste Management (GRI 306-3, 306-4, 306-5)

Waste Category	Unit	FY 23-24	FY 24-25	% Change
Generated				
Hazardous Waste Generated	tonnes	5816.70	7712.7	+32.59%
Non-Hazardous Waste	tonnes	1343.01	493.43	-63.26%
E Waste	tonnes	0.84	2.84	+238.10%
Bio Medical waste	tonnes	3.34	4.38	+31.14%
Total	tonnes	7,163.89	8,213.35	+14.65%
Disposed (diverted due to recycle/reuse) tonnes				
Hazardous Waste Generated	tonnes	4649.30	13243.61	+184.85%
Non-Hazardous Waste	tonnes	379.80	493.43	+29.92%
E Waste	Tonnes	0.70	2.86	+308.57%
Bio Medical waste	tonnes	-	-	-
Total	tonnes	5,029.8	13,739.9	+173.17%
Disposed (diverted through Coprocessing) Tonnes				
Hazardous Waste Generated	tonnes	1167.20	2455.7	-33.8%
Non-Hazardous Waste	tonnes	912	0	-100.00%
E Waste	Tonnes	-	-	-
Bio Medical waste	tonnes	0	0	0
Total	tonnes	2079.2	2455.7	-62.85%
Disposed (diverted through Incineration) Tonnes				
Hazardous Waste Generated	tonnes			
Non-Hazardous Waste	tonnes			
E Waste	Tonnes			
Bio Medical waste	tonnes	3.34	4.39	+31.44%
Total	tonnes	3.34	4.39	+31.44%
Disposed (diverted through Landfill) tonnes				
Hazardous Waste Generated	tonnes	-	311.05	-
Non-Hazardous Waste	tonnes	-	-	-
E Waste	Tonnes	-	-	-
Bio Medical waste	tonnes	-	-	-
Total	tonnes	-	311.05	-

Training Conducted Across Units

Unit	No. of Trainings (Nos.)	Total Training Hours (Hrs)	QA Training	Safety Training Hours (Hrs)	HR Training (Hrs)	Environ-ment Train-ing (Hrs)	OHC Training Hours (Hrs)
Unit I	165	3012.41	48	2948.5	15.91	*	**
Unit II	177	18045.39	3207	10226	2339.15	10.28	2262.96
Unit III	99	15550.8	1107.3	9755.5	1732	*	2956
Unit IV	65	5653.85	431.1	3782	22.75	*	1418
Unit V	151	16283	3398	8978.5	491	479.5	2936
R&D Unit	34	879.9	0	405.4	187	*	287.5
Total	691	59,425.35	8191.4	36,095.9	4787.81	489.78	9,860.46

* Environment trainings are conducted with safety trainings only.

** Safety training includes Environmental and OHS trainings

Remarks: Trainings include QA, Safety trainings, HR training, Environment training and OHC Training

Unit	Total No Em-ployees	Total No of Female Employees	Total No of Male Employees	Average training hours per employee	Average training hours per female	Average training hours per male
I	427	29	398	7.05	103.88	7.57
II	990	20	970	15.94	789.12	16.27
III	661	16	649	23.53	971.93	23.96
IV	347	24	323	16.29	235.58	17.50
V	1072	12	1060	15.19	1356.92	15.36
R & D	121	6	115	7.27	146.65	7.65

Employees

Reporting period: FY 2024-25	Female	Male	Total
Number of Employees	127	3639	3766
Number of permanent Employees	64	2033	1949
Age Below 30	19	462	655
Age Between 30 and 50	25	824	1113
Age Above 50	5	81	74
Number of temporary Employees	63	1606	1669
Age Below 30	0	348	484
Age Between 30 and 50	52	960	1012
Age Above 50	10	149	159



Template for presenting information on employees by region

Reporting period: FY 2024-25	Unit - I	Unit -II	Unit - III	Unit-IV	Unit - V	R&D	CO	Total
Number of employees	427	990	661	347	1072	121	148	3766
Number of permanent employees	235	574	338	179	516	107	148	2097
Number of temporary employees	192	416	323	168	556	14		1669
Number of non-guaranteed hours employees	27	0	0	0				27
Number of full-time employees	427	990	661	347	1072	121	148	3766
Number of part-time employees	0	0	0	0				0

Parental/Maternity eave

Particulars	Male	Female
Total employees entitled to parental leave	1,205	32
Total employees who took parental leave	4	3
Employees who returned to work after parental leave ended	4	2
Employees still employed 12 months after return	4	3
Return to Work Rate (%)	100%	66.7%
Retention Rate after 12 months (%)	100%	100%

Facility	Entitled (M/F)	Availed (M/F)	Returned (M/F)	Retained after 12 months (M/F)
Unit I	235 / 10	4 / 0	4 / 0	4 / 0
Unit II	970 / 20	0 / 1	0 / 1	0 / 1
Unit III	Nil	Nil	Nil	Nil
Unit IV	Nil / 2	Nil / 2	Nil / 1	Nil / 2
Unit V	Nil	Nil	Nil	Nil
R&D	Nil	Nil	Nil	Nil

New Employee Hires and Employee Turnover

2024-25	Male	Female	Total	% of total workforce
New Hires				
Number of permanent Employees	451	21	472	12.53%
Age Below 30	273	7	280	7.43%
Age Between 30 and 50	158	14	172	4.57%
Age Above 50	20	0	20	0.53%
Contract Workmen	592	8	600	15.93%
Under 30	317	6	323	8.58%
30 to 50	264	2	266	7.07%
Above 50	11	0	11	0.29%
Turnover				
No of Employees	372	5	377	10.01%
Age Below 30	220	4	224	5.95%
Age Between 30 and 50	140	1	141	3.75%
Age Above 50	12	0	12	0.32%

Remarks: Turnover includes voluntary resignation, termination, and internal transfer. New hire and turnover rates are calculated using the average headcount methodology (average of opening and closing employee strength).

Summary on Average Hours of Training

S. No.	Description	No. of employees	Total hours of training received in the reporting year	Average hours of training received in the reporting year per type or category
Gender				
1	Male employees	3513	59425.35	619.54
2	Female employees	107		15.11
3	Not disclosed	0	0	0
	Total	3518	83961.65	87.42
Employee Category		0	0	0
1	Managerial	343	12923.5	150.99
2	Non-Managerial	1608	75587.5	163.11

Remarks: Average training hours per employee = Total number of training hours provided to employees
Total number of employees



Performance and career development

S. No.	Description	No. of employees	Employees received a regular performance and career development review during the reporting period
Gender			
1	Male employees	1907	18832
2	Female employees	44	44
3	Not disclosed	0	0
4	Others (Contract)	986	10327
Employee Category			
1	Managerial	40	40
2	Non-Managerial	370	2994

Summary on Basic Remuneration

S. No.	Description	No. of Male employees	No. of Female employees	Basic Remuneration		Ratio	%
I	Employee Category			Male employees	Female employees		
1	Managerial	340	4	6629642	130629	1.67:1	1.97%
2	Non-Managerial	1567	40	10965274.58	185888	0.66:1	1.69%
3	Others (Contract)	557	13	5447559	140248	1.10:1	2.57%

Summary on Total Remuneration (including bonuses, benefits, etc.)

S. No.	Description	No. of Male employees	No. of Female employees	Total Remuneration (including bonuses, benefits, etc.)		
I	Employee Category			Male employees	Female employees	Ratio
1	Managerial	340	4	108396670	919995	0.72:1
2	Non-Managerial	1577	40	165504925	4414910	1.05:1
3	Others (Contract)	557	13	9054938	188242	0.89:1

ANNEXURES & DISCLOSURES

GRI Content Index

This report has been prepared in reference to the Global Reporting Initiative (GRI) Standards (2021 version), ensuring alignment with globally recognized sustainability disclosure practices. The GRI framework has been instrumental in shaping our approach to materiality, stakeholder engagement, and the disclosure of our economic, environmental, and social impacts.

The index below maps the disclosures in this report to corresponding GRI Standards, ensuring transparency and comparability for all stakeholders.

VPCL's reporting boundary covers all manufacturing units, R&D facilities, and administrative offices in India.

S. No.	Material Topics/Disclosure	Disclosed ? (Y/N/NA)	Page Number
1	Disclosure 2-1 Organizational details	Yes	5
2	Disclosure 2-2 Entities included in the organization's sustainability reporting	Yes	8
3	Disclosure 2-3 Reporting period, frequency and contact point	Yes	7,9
4	Disclosure 2-4 Restatements of information	Yes	9
5	Disclosure 2-5 External assurance	Yes	124
6	Disclosure 2-6 Activities, value chain and other business relationships	Yes	16
7	Disclosure 2-7 Employees	Yes	112
8	Disclosure 2-8 Workers who are not employees	Yes	112
9	Disclosure 2-9 Governance structure and composition	Yes	32, 33
10	Disclosure 2-10 Nomination and selection of the highest governance body	Yes	32, 33
11	Disclosure 2-11 Chair of the highest governance body	Yes	32, 33
12	Disclosure 2-12 Role of the highest governance body in overseeing the management of impacts	Yes	32, 33
13	Disclosure 2-13 Delegation of responsibility for managing impacts	Yes	32
14	Disclosure 2-14 Role of the highest governance body in sustainability reporting	Yes	32
15	Disclosure 2-15 Conflicts of interest	Yes	41
16	Disclosure 2-16 Communication of critical concerns	Yes	41



S. No.	Material Topics/Disclosure	Disclosed ? (Y/N/NA)	Page Number
17	Disclosure 2-17 Collective knowledge of the highest governance body	NO	
18	Disclosure 2-18 Evaluation of the performance of the highest governance body	No	
19	Disclosure 2-19 Remuneration policies	Yes	36
20	Disclosure 2-20 Process to determine remuneration	No	
21	Disclosure 2-21 Annual total compensation ratio	No	
22	Disclosure 2-22 Statement on sustainable development strategy	Yes	10
23	Disclosure 2-23 Policy commitments	Yes	37, 38
24	Disclosure 2-24 Embedding policy commitments	Yes	37
25	Disclosure 2-25 Processes to remediate negative impacts	No	
26	Disclosure 2-26 Mechanisms for seeking advice and raising concerns	No	
27	Disclosure 2-27 Compliance with laws and regulations	NA	
28	Disclosure 2-28 Membership associations	Yes	18, 25
29	Disclosure 2-29 Approach to stakeholder engagement	Yes	20
30	Disclosure 2-30 Collective bargaining agreements	Yes	41, 42
GRI 101: Biodiversity 2024			
31	101-1: Policies to halt and reverse biodiversity loss	NA	
32	101-2: Management of biodiversity impacts	NA	
33	101-3: Access and benefit-sharing	NA	
34	101-4: Identification of biodiversity impacts	NA	
35	101-5: Locations with biodiversity impacts	NA	
36	101-6: Direct drivers of biodiversity loss	NA	
37	101-7: Changes to the state of biodiversity	NA	
38	101-8: Ecosystem services	NA	
GRI 201: Economic Performance 2016			
40	201-1: Direct economic value generated and distributed	No	
41	201-2: Financial implications and other risks and opportunities due to climate change		
42	201-3: Defined benefit plan obligations and other retirement plans		
43	201-4: Financial assistance received from government		
GRI 202: Market Presence 2016			
44	202-1: Ratios of standard entry level wage by gender compared to local minimum wage	No	
45	202-2: Proportion of senior management hired from the local community	No	
GRI 203: Indirect Economic Impacts 2016			
46	203-1: Infrastructure investments and services supported	No	
47	203-2: Significant indirect economic impacts	No	

S. No.	Material Topics/Disclosure	Disclosed ? (Y/N/NA)	Page Number
GRI 204: Procurement Practices 2016			
48	204-1: Proportion of spending on local suppliers		
GRI 205: Anti-corruption 2016			
49	205-1: Operations assessed for risks related to corruption	Yes	42
50	205-2: Communication and training about anti-corruption policies and procedures	Yes	88
51	205-3: Confirmed incidents of corruption and actions taken	Yes	42,43
GRI 206: Anti-competitive Behavior 2016			
52	206-1: Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	Yes	42,43
GRI 207: Tax 2019			
53	207-1: Approach to tax		
54	207-2: Tax governance, control, and risk management		
55	207-3: Stakeholder engagement and management of concerns related to tax		
56	207-4: Country-by-country reporting	NA	
GRI 301: Materials			
57	301-1: Material used by weight or volume	No	
58	301-2: Recycled input material used	No	
59	301-3: Reclaimed products and their packaging materials	No	
GRI 302: Energy 2016			
60	302-1: Energy consumption within the organization	Yes	109
61	302-2: Energy consumption outside of the organization	NA	
62	302-3: Energy intensity	Yes	109
63	302-4: Reduction of energy consumption	NA	
64	302-5: Reductions in energy requirements of products and services	No	
GRI 303: Water and Effluents 2018			
65	303-1: Interactions with water as a shared resource	NA	
70	303-2: Management of water discharge-related impacts	Yes	63
71	303-3: Water withdrawal	Yes	109
72	303-4: Water discharge	Yes	109
73	303-5: Water consumption	Yes	109
GRI 304: Biodiversity 2016			
74	304-1: Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	Yes	69, 70
75	304-2: Significant impacts of activities, products and services on biodiversity	Yes	69, 70



S. No.	Material Topics/Disclosure	Disclosed ? (Y/N/NA)	Page Number
76	304-3: Habitats protected or restored	NA	
77	304-4: IUCN Red List species and national conservation list species with habitats in areas affected by operations	NA	
GRI 305: Emissions 2016			
78	305-1: Direct (Scope 1) GHG Emissions	Yes	108
79	305-2: Energy Indirect (Scope 2) GHG Emissions	Yes	108
80	305-3: Other Indirect (Scope 3) GHG Emissions	Yes	108
81	305-4: GHG Emissions Intensity	Yes	108
82	305-5: Reduction of GHG Emissions	Yes	58
83	305-6: Emissions of Ozone Depleting Substances	No	
84	305-7: Nitrogen Oxides, Sulfur Oxides and Other Significant Air Emissions	No	
GRI 306: Waste 2020			
85	306-1: Waste generation and significant waste-related impacts	Yes	63-65
86	306-2: Management of significant waste-related impacts	Yes	63-65
87	306-3: Waste generated	Yes	110
88	306-4: Waste diverted from disposal	Yes	110
89	306-5: Waste directed to disposal	Yes	110
GRI 308: Supplier Environmental Assessment 2016			
90	308-1: New suppliers that were screened using environmental criteria	No	
91	308-2: Negative environmental impacts in the supply chain and actions taken		
GRI 401: Employment 2016			
92	401-1: New employee hires and employee turnover	Yes	113
93	401-2: Benefits provided to full-time employees that are not provided to temporary or part-time employees	Yes	82, 83
94	401-3: Parental leave	Yes	85
GRI 402: Labor/Management Relations 2016			
95	402-1: Minimum notice periods regarding operational changes	Yes	41
GRI 403: Occupational Health and Safety 2018			
96	403-1: Occupational health and safety management system	Yes	75
97	403-2: Hazard identification, risk assessment, and incident investigation	Yes	79
98	403-3: Occupational health services	Yes	76
99	403-4: Worker participation, consultation, and communication on occupational health and safety	Yes	80
100	403-5: Worker training on occupational health and safety	Yes	87

S. No.	Material Topics/Disclosure	Disclosed ? (Y/N/NA)	Page Number
101	403-6: Promotion of worker health	Yes	88
102	403-7: Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	Yes	80
103	403-8: Workers covered by an occupational health and safety management system	Yes	88
104	403-9: Work-related injuries	Yes	75
105	403-10: Work-related ill health	Yes	75
GRI 404: Training and Education 2016			
106	404-1: Average hours of training per year per employee	Yes	113
107	404-2: Programs for upgrading employee skills and transition assistance programs	Yes	89
108	404-3: Percentage of employees receiving regular performance and career development reviews	Yes	114
GRI 405: Diversity and Equal Opportunity 2016			
109	405-1: Diversity of governance bodies and employees	Yes	74
110	405-2: Ratio of basic salary and remuneration of women to men	Yes	113
GRI 406: Non-discrimination 2016			
111	406-1: Incidents of discrimination and corrective actions taken	Yes	74
GRI 407: Freedom of Association and Collective Bargaining 2016			
112	407-1: Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Yes	40
GRI 408: Child Labor 2016			
113	408-1: Operations and suppliers at significant risk for incidents of child labor	Yes	38
GRI 409: Forced or Compulsory Labor 2016			
114	409-1: Operations and suppliers at significant risk for incidents of forced or compulsory labor	Yes	38
GRI 410: Security Practices 2016			
115	410-1: Security personnel trained in human rights policies or procedures	Yes	91
GRI 411: Rights of Indigenous Peoples 2016			
116	411-1: Incidents of violations involving rights of indigenous peoples	NA	
GRI 413: Local Communities 2016			
117	413-1 Operations with local community engagement, impact assessments, and development programs	Partially	91



S. No.	Material Topics/Disclosure	Disclosed ? (Y/N/NA)	Page Number
118	413-2 Operations with significant actual and potential negative impacts on local communities	No	
GRI 414: Supplier Social Assessment 2016			
119	414-1: New suppliers that were screened using social criteria	No	
120	414-2: Negative social impacts in the supply chain and actions taken		
GRI 415: Public Policy 2016			
121	415-1: Political contributions	No	
GRI 416: Customer Health and Safety 2016			
122	416-1: Assessment of the health and safety impacts of product and service categories	No	
123	416-2: Incidents of non-compliance concerning the health and safety impacts of products and services	No	
GRI 417: Marketing and Labeling 2016			
124	417-1: Requirements for product and service information and labeling	No	
125	417-2: Incidents of non-compliance concerning product and service information and labeling	No	
126	417-3: Incidents of non-compliance concerning marketing communications	No	
127	GRI 418: Customer Privacy 2016 418-1: Substantiated complaints concerning breaches of customer privacy and losses of customer data	No	

BRSR Disclosure Index

VPCL's reporting approach is aligned with the Business Responsibility and Sustainability Report (BRSR) framework prescribed by the Securities and Exchange Board of India (SEBI), including the BRSR Core disclosures, ensuring compliance with national sustainability and governance reporting requirements.

The following index provides a snapshot of VPCL's response to each BRSR principle and BRSR Core indicator, demonstrating the integration of environmental, social, and governance priorities into the Company's business operations and decision-making processes.

Sr.No.	Attribute	Parameter	Yes/No	Page Number
1	Green-house gas (GHG)	Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Yes	106
		Total Scope 2 emissions (Break-up of the GHG (CO ₂ e) into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Yes	106
		GHG Emission Intensity (Scope 1 +2)	Yes	106
2	Water footprint	Total water consumption	Yes	106
		Water consumption intensity	Yes	106
		Water discharge by destination and levels of treatment	Yes	106
3	Energy footprint	Total energy consumed	Yes	106
		% of energy consumed from renewable sources	Yes	106
		Energy intensity	Yes	106
4	Embracing circularity – details related to waste management by the entity	Plastic waste (A)	Yes	106
		E-waste (B)	Yes	106
		Bio-medical waste (C)	Yes	106
		Construction and demolition waste (D)	No	106
		Battery waste (E)	No	106
		Radioactive waste (F)	No	106
		Other Hazardous waste. Please specify, if any. (G)	Yes	106
		Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e., by materials relevant to the sector)	Yes	106
		Total waste generated (A+B + C + D + E + F + G + H)	Yes	106
		Waste intensity	Yes	106
		Each category of waste generated, total waste recovered through recycling, re-using or other recovery operations	Yes	106
		For each category of waste generated, total waste disposed by nature of disposal method	Yes	106



Sr.No.	Attribute	Parameter	Yes/No	Page Number
5	Enhancing Employee Wellbeing and Safety	Spending on measures towards well-being of employees and workers – cost incurred as a % of total revenue of the company	No	107
		Details of safety related incidents for employees and workers (including contract-workforce e.g. workers in the company's construction sites)	Yes	
6	Enabling Gender Diversity in Business	Gross wages paid to females as % of wages paid	Yes	107
		Complaints on POSH	Yes	
7	Enabling Inclusive Development	Input material sourced directly from MSMEs/ small producers and from within India as % of total purchases	No	
		Job creation in smaller towns – Wages paid to persons employed in smaller towns (permanent or non-permanent /on contract) as % of total wage cost	No	
8	Fairness in Engaging with Customers and Suppliers	Instances involving loss / breach of data of customers as a percentage of total data breaches or cyber security events	Yes	107
		Number of days of accounts payable	No	
9	Open-ness of business	Concentration of purchases & sales done with trading houses, dealers, and related parties Loans and advances & investments with related parties	No	

BRSR Assurance Note:

VPCL's BRSR disclosures have been reviewed for completeness, accuracy, and alignment with the principles of transparency and accountability. The company's sustainability committee ensures periodic review of disclosures in accordance with SEBI guidelines.

Glossary & Abbreviations

Term / Abbreviation	Definition
API	Active Pharmaceutical Ingredient
BRSR	Business Responsibility and Sustainability Report
CSR	Corporate Social Responsibility
EHS	Environment, Health, and Safety
ESG	Environmental, Social, and Governance
FY	Financial Year
GHG	Greenhouse Gas
GRI	Global Reporting Initiative
HIRA	Hazard Identification and Risk Assessment
LTIFR	Lost Time Injury Frequency Rate
OHS	Occupational Health & Safety
POSH	Prevention of Sexual Harassment
VPCL	Vasudha Pharma Chem Limited



Assurance / Verification Statement



INDEPENDENT ASSURANCE OPINION STATEMENT

To Sri M. V. Rama Raju, Chairman & Managing Director, of Vasudha Pharma Chem Limited.

Holds Statement No. SRA 840114-1

The British Standards Institution (BSI) has conducted a limited assurance engagement on the ESG information (described in the "Scope") in the Business Responsibility and Sustainability Report (BRSR Core KPI's) for FY 2024-2025 of Vasudha Pharma Chem Limited.

Scope

The scope of engagement agreed upon with Vasudha Pharma Chem Limited includes the following:

The assurance covers the information of the following subject matters only in the Business Responsibility and Sustainability Report (BRSR Core KPI's) for the FY 2024-2025.

- Greenhouse gas (GHG) footprint - P6:E7
- Water footprint - P6:E3 and P6:E4
- Energy footprint - P6:E1
- Embracing circularity - P6:E9
- Enhancing Employee Wellbeing and Safety – P3:E1(c) and P3:E11
- Enabling Gender Diversity in Business – P5:E3(b) and P5:E7
- Fairness in Engaging with Customers and Suppliers - P9:E7

The selected information is reported with reference to the Business Responsibility and Sustainability Report (BRSR Core KPI's).

The details of subject matters and their boundaries within the scope are described in Appendix A and Appendix B in this independent assurance opinion statement.

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Opinion Statement

We have conducted a limited assurance engagement on the ESG information described in the "Scope" above (BRSR for FY 2024-2025, covering disclosures on greenhouse gas (GHG) footprint, Water footprint, Energy footprint, embracing circularity, Enhancing Employee Wellbeing and Safety, Enabling Gender Diversity in Business, and fairness in engaging with Customers and Suppliers).

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the accompanying ESG Information is not prepared, in all material respects, with reference to the Business Responsibility and Sustainability Report (BRSR Core KPI's) for FY 2024-2025.

Methodology

Our assurance engagements were carried out in accordance with ISAE3000 (Revised) assurance standard and ISO 14064-3:2019 for GHG statement following the principles of Integrity, Objectivity, Professional competence and due care, Confidentiality, and Professional behaviour. Our work was designed to gather evidence on which to base our conclusion. We undertook the following activities:

- A top-level review of issues raised by external parties that could be relevant to Vasudha Pharma Chem Limited policies to provide a check on the appropriateness of statements made in the report.
- Discussion with managers and staff on the Vasudha Pharma Chem Limited approach to stakeholder engagement. However, we had no direct contact with external stakeholders.
- Interviews with staff involved in ESG management, BRSR preparation, and provision of report information were carried out.
- Document review of relevant systems, policies, and procedures where available.
- Review of key organisational developments.
- Review of the findings of internal audits.
- Review of supporting evidence for claims made in the reports.
- Review of data about the sampled units of Vasudha Pharma Chem Limited to confirm the data collection processes, record management practices, and check BRSR Core KPI's physically and through virtual mode.
- A sample-based assessment of the reliability and quality of information as provided in the BRSR towards Vasudha Pharma Chem Limited's performance.

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Responsibility

Vasudha Pharma Chem Limited is responsible for the preparation and fair presentation of the BRSR report in accordance with the agreed criteria. BSI is responsible for providing an independent assurance opinion statement to stakeholders, giving our professional opinion based on the scope and methodology described.

Independence, Quality Control, and Competence

BSI is independent of Vasudha Pharma Chem Limited and has no financial interest in the operation of Vasudha Pharma Chem Limited other than for the assurance of the ESG statements contained in the Business Responsibility and Sustainability Report.

This independent assurance opinion statement has been prepared for the stakeholders of Vasudha Pharma Chem Limited only to verify its statements relating to its environmental, social, and governance (ESG) KPI's as required in SEBI-BRSR Core Format, more particularly described in the Scope above and detailed in Annexure A.

This independent assurance opinion statement is prepared based on a review by BSI of information presented to it by Vasudha Pharma Chem Limited. In making this independent assurance opinion statement, BSI has assumed that all information provided to it by Vasudha Pharma Chem Limited is true, accurate, and complete. BSI accepts no liability to any third party who places reliance on this statement.

BSI applies its own management standards and compliance policies for quality control, in accordance with ISO/IEC 17021-1:2015, and accordingly maintains a comprehensive system of quality control, including documented policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

BSI is a leading global standards and assessment body founded in 1901. The BSI assurance team has extensive experience in conducting verification over environmental, social and governance (ESG), GRI Universal Standard 2024, BRSR, GARP, AA1000AS, ISO10002, ISO 14001, ISO 45001, ISO 14064, ISO 14067, ISO 14068, ISO 50001, and ISO 9001, etc. The assurance is carried out in line with the BSI Fair Trading Code of Practice.

Issue Date: 30-03-2026

For and on behalf of BSI:

S Krishnaraj, Lead Assurer

Emmanuel Herve, Managing Director, South & South East Asia (S&SEA)

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Appendix A: [Data of subject matters within the scope].

Sr: No	Subject Matter / Attribute	Parameter	Unit of Measurement	Final Value
1	GHG Footprint	Total Scope-1 Emissions	tCO2e	43043
		Total Scope-2 Emissions	tCO2e	30565
		GHG Emission Intensity (Scope 1+2)	tCO2e/Rs Crores (Revenue)	0.0000063
			tCO2e/million USD (Revenue adjusted for PPP)	N/R
			tCO2e/No of Permanent Employees (Physical output)	N/R
2	Water Footprint	Total water consumption	KL	210668
		Water consumption intensity	KL/Rs Crores (Revenue)	0.00001823
			KL/million USD (Revenue adjusted for PPP)	N/R
			KL/No of Permanent Employees (Physical output)	N/R
		Water discharge by destination and levels of treatment (i.e., third-party disposal with primary treatment)	KL	106487
3	Energy Footprint	Total energy consumed from renewable sources	GJ	13697
		Total energy consumed from non-renewable sources	GJ	507937
		Percentage of energy consumed from renewable sources	In % terms	2.62
		Energy consumption intensity	GJ/Rs Crores (Revenue)	0.0000452
			GJ/million USD (Revenue adjusted for PPP)	N/R
			GJ/No of Permanent Employees (Physical output)	N/R
4	Embracing circularity -	Plastic waste (A)	MT	130.809
		E-waste (B)	MT	2.84

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	details related to waste management by the entity	Bio-medical waste (C)	MT	4.38
		Construction and demolition waste (D)	MT	N/A
		Battery waste (E)	MT	N/A
		Radioactive waste (F)	MT	N/A
		Other Hazardous Waste (G)	MT	7712.76
		Other Non-hazardous waste generated (H)	MT	362.62
		Total waste generated (A+B + C + D + E + F + G + H)	MT	8214.41
		Waste generation intensity	MT/Rs Crores (Revenue)	0.00000071
			MT/million USD (Revenue adjusted for PPP)	N/R
			MT/No of Permanent Employees (Physical output)	N/R
		Waste diverted from disposal	MT (Recycled)	13739.9
			MT (Re-used)	NIL
			MT (Others)	NIL
		Waste is directed to disposal	MT (Incineration)	4.39
			MT (Landfilling)	311.05
			MT (Co-Processing)	2455.7
		Waste recycled intensity	(Total waste recycled) / (Total waste generated)	83.21

5	Enhancing Employee Wellbeing and Safety	Spending on measures towards the well-being of employees and workers (including only permanent employees' measures)	Cost incurred on well-being measures as a % of the total revenue of the company	1.67
		Details of safety-related incidents for employees and workers (including contract workforce)	Number of Permanent Disabilities	NIL
			Lost Time Injury Frequency Rate (LTIFR)	NIL
			No. of fatalities	NIL

6	Enabling gender diversity in business	Gross wages paid to females as % of wages paid	In % age terms (Permanent)	3.18
		Complaints on POSH.	Total Complaints on Sexual Harassment (POSH) reported	NIL
			Complaints on POSH as a % of female employees/ workers	NIL

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			Complaints on POSH upheld	NIL
7	Enabling inclusive development	Input material directly sourced from MSMEs/ small producers from within India, as a percentage of total purchase.	In % of total purchases by value	N/R
		Job creation in smaller towns - Wages paid to persons employed in smaller towns as % of total wage cost.	Rural, as % of total wage cost	N/R
			Semi-urban, as % of total wage cost	N/R
			Urban, as % of total wage cost	N/R
8	Fairness in Engaging with Customers and Suppliers	Instances involving loss/ breach of data of customers as a percentage of total data breaches (or) cybersecurity events	Percentage of data breaches	NIL
			Number of days of accounts payable	N/R
			Days	N/R
9	Openness of business	Concentration of Purchases	Purchases from trading houses as % of total purchases	N/R
			Number of trading houses where purchases are made from.	N/R
			Purchases from top 10 trading houses as % of total purchases from trading houses	N/R
		Concentration of Sales	Sales to dealers/distributors as % of total sales	N/R
			Number of dealers/distributors to whom sales are made	N/R
			Sales to top 10 dealers/distributors as % of total sales to dealers/distributors	N/R

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		Share of RPTs in percentage	Purchases with related parties / Total Purchases	N/R
			Sales to related parties / Total Sales	N/R
			Loans & advances given to related parties / Total loans & advances	N/R
			Investments in related parties / Total Investments made	N/R

Appendix B: List of locations from the boundaries of “Greenhouse gas (GHG) footprint, Water footprint, Energy footprint, embracing circularity, Enhancing Employee Wellbeing and Safety, Enabling Gender Diversity in Business, Fairness in Engaging with Customers and Suppliers”.

SI:N	Facility Name	Facility Address
1	Unit I	M/s. Vasudha Pharma Chem Limited, Plot No.39 A & B, Phase-I, IDA, Jeedimetla, Quthubullapur (M), Medchal-Malkajgiri District.
2	Unit II	M/s. Vasudha Pharma Chem. Ltd., Unit – II, (After expansion), Plot No. 79, JN Pharmacy, Parawada, Anakapalli District (Earlier Visakhapatnam District).
3	Unit III	M/s. Vasudha Pharma Chem. Ltd., Unit – III, (After Expansion) Plot No. 23 & 24, Visakha Pharmacy Limited, Parawada, Anakapalli District.
4	Unit IV	M/s Vasudha Pharm Chem Ltd., Unit-IV, Plot No. 01. J.N. Pharmacy, Thadi (V), Parawada (M), Anakapalli District (Earlier Visakhapatnam District).
5	Unit V	M/s. Vasudha Pharma Chem Limited, Unit – V, (Change of Product Mix) Plot No. 24, 24A & 24B, De-Notified Area, APSEZ, Lalamkoduru(V), Rambilli (M), Visakhapatnam District.
6	R&D	M/s. Vasudha Pharma Chem Limited, R & D Center, Ramky Commercial Hub, JN Pharmacy, Parawada, Anakapalli District.
7	Corporate Office	Vasudha Pharma Chem Ltd - Corporate Office, 4th Floor, Vamsiram Jyothi Galaxy, Kavuri Hills, Jubilee Hills, Hyderabad, Telangana 500033.
8	Registered Office	Vasudha Pharma Chem Ltd - Registered Office, 78/A, Vengal Rao Nagar Rd, Mothi Nagar, Vengal Rao Nagar, Sanjeeva Reddy Nagar, Hyderabad, Telangana 500038, India.

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INDEPENDENT ASSURANCE OPINION STATEMENT

To Sri M. V. Rama Raju, Chairman & Managing Director, of Vasudha Pharma Chem Limited.

Holds Statement No.: SRA 840114-2

The British Standards Institution (BSI) has conducted a limited assurance engagement on the sustainability information (described in the “Scope”) mentioned in the Global Reporting Initiative (GRI) report for FY 2024-2025 of Vasudha Pharma Chem Limited.

Scope

The scope of engagement agreed upon with Vasudha Pharma Chem Limited includes the following:

The assurance covers only the following subject matters in the GRI Report for FY 2024-2025.

- Anti-Corruption
- Anti-Competitive Behaviour
- Energy
- Water and Effluents
- Emissions
- Waste
- Employment
- Labour/Management Relations
- Occupational Health and Safety
- Training and Education
- Diversity and Equal Opportunity
- Non-discrimination
- Freedom of Association and Collective Bargaining
- Child Labor
- Forced or Compulsory Labour
- Security Practices

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The selected information is reported with reference to the GRI (Global Reporting Initiative) Universal Standard 2021.

The details of subject matters and their boundaries within the scope are described in Appendix A and Appendix B in this independent assurance opinion statement.

Opinion Statement

We have conducted a limited assurance engagement on the sustainability information described in the "Scope" above (GRI Report for FY 2024-2025 covering disclosures on Anti-Corruption, Anti-Competitive Behaviour, Energy, Water and Effluents, Emissions, Waste, Employment, Labor/Management Relations, Occupational Health and Safety, Training and Education, Diversity and Equal Opportunity, Non-discrimination, Freedom of Association and Collective Bargaining, Child Labor, Forced or Compulsory Labor, Security Practices).

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the accompanying Sustainability Information is not prepared, in all material respects, with reference to GRI (Global Reporting Initiative) Universal Standard 2021.

Methodology

Our assurance engagements were carried out in accordance with ISAE3000 (Revised) assurance standard and ISO 14064-3:2019 for GHG statement following the principles of Integrity, Objectivity, Professional competence and due care, Confidentiality, and Professional behaviour. Our work was designed to gather evidence on which to base our conclusion. We undertook the following activities:

- A top-level review of issues raised by external parties that could be relevant to Vasudha Pharma Chem Limited policies to provide a check on the appropriateness of statements made in the report.
- Discussion with managers and staff on the Vasudha Pharma Chem Limited approach to stakeholder engagement. However, we had no direct contact with external stakeholders.
- Interviews with staffs involved in sustainability management, GRI report preparation and provision of report information were carried out.
- Document review of relevant systems, policies, and procedures where available.
- Review of key organizational developments.
- Review of the findings of internal audits.
- Review of supporting evidence for claims made in the reports.
- Review of data about the sampled units of Vasudha Pharma Chem Limited to confirm the data collection processes, record management practices, and check GRI disclosures physically and through virtual mode.
- A sample-based assessment of the reliability and quality of information as provided in the GRI report towards Vasudha Pharma Chem Limited's performance.

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Responsibility

Vasudha Pharma Chem Limited is responsible for the preparation and fair presentation of the sustainability information and report in accordance with the agreed criteria. BSI is responsible for providing an independent assurance opinion statement to stakeholders giving our professional opinion based on the scope and methodology described.

Independence, Quality Control, and Competence

BSI is independent of Vasudha Pharma Chem Limited and has no financial interest in the operation of Vasudha Pharma Chem Limited other than for the assurance of the sustainability statements contained in the GRI Report.

This independent assurance opinion statement has been prepared for the stakeholders of Vasudha Pharma Chem Limited only for the purposes of verifying its statements relating to its economic, environmental and people, more particularly described in the Scope above and detailed in Annexure A.

This independent assurance opinion statement is prepared on the basis of a review by BSI of information presented to it by Vasudha Pharma Chem Limited. In making this independent assurance opinion statement, BSI has assumed that all information provided to it by Vasudha Pharma Chem Limited is true, accurate, and complete. BSI accepts no liability to any third party who places reliance on this statement.

BSI applies its own management standards and compliance policies for quality control, in accordance with ISO/IEC 17021-1:2015, and accordingly maintains a comprehensive system of quality control, including documented policies and procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

BSI is a leading global standards and assessment body founded in 1901. The BSI assurance team has extensive experience in conducting verification over environmental, social and governance (ESG), GRI Universal Standard 2024, BRSR, GARP, AA1000AS, ISO10002, ISO 14001, ISO 45001, ISO 14064, ISO 14067, ISO 14068, ISO 50001, and ISO 9001, etc. The assurance is carried out in line with the BSI Fair Trading Code of Practice.

Issue Date: 30-03-2026

For and on behalf of BSI:

S Krishnaraj, Lead Assurer

Emmanuel Herve, Managing Director, South & South East Asia (S&SEA)

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Appendix A: [Data of subject matters within the scope].

- General disclosures (GRI 2: 2-1 to 2-16, 2-19, 2-22 to 2-24, 2-28 to 2-30), materiality-related disclosures (GRI 3: 3-1 to 3-3).
- GRI 205: Anti-Corruption 2016 – 205-1, 205-2, 205-3
- GRI 206: Anti-Competitive Behaviour 2016 – 206-1
- GRI 302: Energy 2016 – 302-1, 302-3
- GRI 303: Water and Effluents 2018 – 303-2, 303-3, 303-4, 303-5
- GRI 305: Emissions 2016 – 305-1, 305-2, 305-3, 305-4, 305-5
- GRI 306: Waste 2020 – 306-1, 306-2, 306-3, 306-4, 306-5
- GRI 401: Employment 2016 – 401-1, 401-2, 401-3
- GRI 402: Labour/Management Relations 2016 – 402-1
- GRI 403: Occupational Health and Safety 2018 – 403-1, 403-2, 403-3, 403-4, 403-5, 403-6, 403-7, 403-8, 403-9, 403-10
- GRI 404: Training and Education 2016 – 404-1, 404-2, 404-3
- GRI 405: Diversity and Equal Opportunity 2016 – 405-1, 405-2
- GRI 406: Non-discrimination 2016 – 406-1
- GRI 407: Freedom of Association and Collective Bargaining 2016 – 407-1
- GRI 408: Child Labour 2016 – 408-1
- GRI 409: Forced or Compulsory Labour 2016 – 409-1
- GRI 410: Security Practices 2016 – 410-1

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Appendix B: List of locations from the boundaries of “Anti-Corruption, Anti-Competitive Behaviour, Energy, Water and Effluents, Emissions, Waste, Employment, Labour/Management Relations, Occupational Health and Safety, Training and Education, Diversity and Equal Opportunity, Non-discrimination, Freedom of Association and Collective Bargaining, Child Labour, Forced or Compulsory Labour, Security Practices”.

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Notes

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Notes

[illegible]



Notes

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